Bank of Kigali
INVESTOR PRESENTATION
Q3 2016 & 9M 2016

Disclaimer

This presentation contains statements that constitute "forward-looking statements", including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank's structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

Key Executives

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Agenda

1. Key Investment Highlights

2. Country Overview Information

3. Banking Sector Overview

4. Bank Overview

5. Corporate Governance

6. Business Overview

7. Review of Financial Performance September 2016

8. Strategic Outlook

9. Contact Information

Key Investment Highlights

1. *Best Bank in Rwanda 2013, 2015 & 2016*

EUROMONEY AWARDS FOR EXCELLENCE 2016

2. *Best East African Bank 2012 & 2015*

AFRICAN BANKER AWARDS 2015

3. *Bank of the Year 2009-2012,2014,2015*

4. *Best Bank in Rwanda 2009-2014*

emeafinance Europe • Middle East • Africa

5. *Best African Listing 2011*

6. *AA-/A1+ Credit Rating*

GCR GLOBAL CREDIT RATING CO. Local Expertise • Global Presence

The rating reflects the Bank's established domestic franchise value, strong capital position, its systemic importance, strong asset quality and financial performance.

africainvestor

7. *Best Financial Reporting Company Rwanda 2012 & 2014*

Sound Macro Fundamentals

- Politically stable country with sound governance
- Very attractive demographic profile: population of 12.4 million with 83% below the age of 40
- Robust economic growth averaging 8% pa in the last 5 years, aiming at reaching 11.5% by 2018
- Moderate inflation: Inflation rate of 5.8 % as at September 2016
- The 2016 World Bank Doing Business Report ranked Rwanda as the 62nd out of 189 countries in terms of ease of doing business and 2nd in Africa.

Significant Banking Sector Potential

- Significant headroom for growth given under-banked and excluded population
- Large unbanked population of approximately 28%
- Total assets/GDP of 35.8% as at December 2015
- Well regulated banking sector: fairly conservative regulator relative to other regulators in the EAC

Market Leadership

- Strong Market positioning & sustainable leadership by
  - Total assets FRw 596.4billion ; 34.4% market share as at 9M 2016
  - Net Loans FRw 400.5billion ; 37.9% market share as at 9M 2016
  - Customer Deposits FRw 392.7billion ; 37.4% market share as at 9M 2016
  - Shareholders' Equity FRw 107.7billion ; 39.2% market share as at 9M 2016

Conservative Business Model

- Relatively high capital adequacy ratios since 2010 averaging >20%
- Manageable level of non-performing 4.0% of gross loans as at 9M 2016, down from 19.4% in 2007.
- liquid assets holding of 36.2% (minimum requirement 20%)

Experienced Management Team

- Management team with significant banking sector experience
- Complemented by an experienced and diversified Board of Directors
- Track record of producing stellar results

Profitable Growth

- Robust asset growth at a CAGR of 24.6% (2011 - 2016) - FRw 596.4 billion as at 30 September 2016
- ROAA ranging from 3.5 % - 4.0% between 2010 and 2016

COUNTRY OVERVIEW INFORMATION

Rwanda – Country Profile

National Facts

Area	26,338 sq km
Population	12.4 million
Official Languages	Kinyarwanda, French, English
Capital	Kigali
Currency	Rwandan Franc (FRw) {802.2 FRw = 1 US$ as of end September 2016}
Credit Rating	'B +' (Fitch Ratings) 'B+' (Standard & Poors)
Nominal GDP 2015	US$ 8.1 billion
Nominal GDP Per Capita 2015	US$ 720
Nominal GDP 2016P	US$ 8.1 billion
Nominal GDP Per Capita 2016P	US$ 720

Macro Economic Indicators

Real GDP Growth rate 2015	6.9%
Real GDP Growth rate 2016P	6.8%
Inflation Rate (Sep 2016)	5.8%
Private Sector Growth(2016P)	26.7%
Private Sector Credit (% GDP) 2016P	19.7%
Current-account deficit as a % of GDP-2016P	8.9%
Net External Debt (%GDP) 2016P	11.8%
Currency Depreciation against USD Sep 2016	7.3%

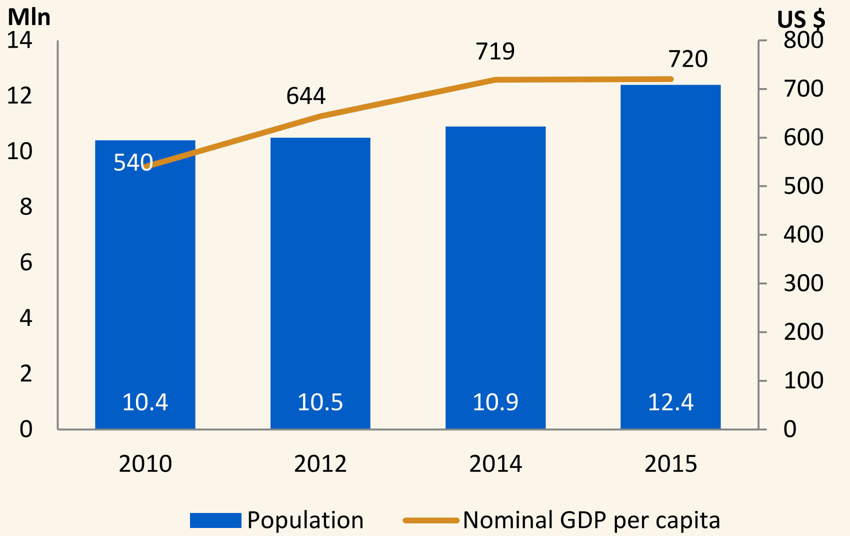
Business Environment

- Ranked Second after Mauritius as the best destination to do business in Africa in the World Bank 2016 Doing Business Report.
- Since 2005, Rwanda has implemented over 22 business regulation reforms in the areas measured by the World Bank Doing Business Index. Today, entrepreneurs can register a new business online in 6 hours
- Ranked first in Africa in the 2014 World Bank Country Policy and Institutional Assessment (CPIA) report. The report shows that Rwanda's economic management and structural policies as the most improved in sub-Saharan Africa. Rwanda was also named the most competitive economy in East Africa and third in Africa by Global Competitiveness Index Report 2014

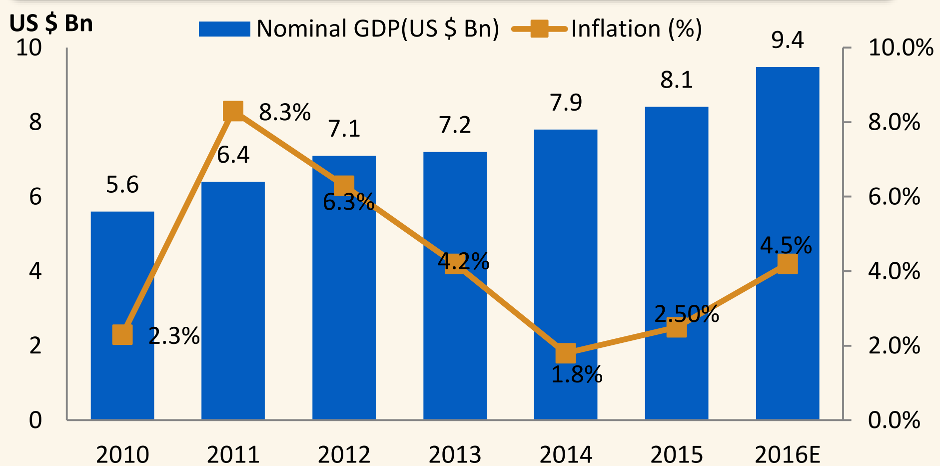
Source: IMF,CIA World Factbook, World Bank, Ministry of Finance and Economic Planning, National Institute of Statistics of Rwanda and National Bank of Rwanda, Standard and Poors Research Update –March 2015, Fitch Ratings- Feb 2016

Sound Macro Fundamentals

GDP per Capita continues to grow

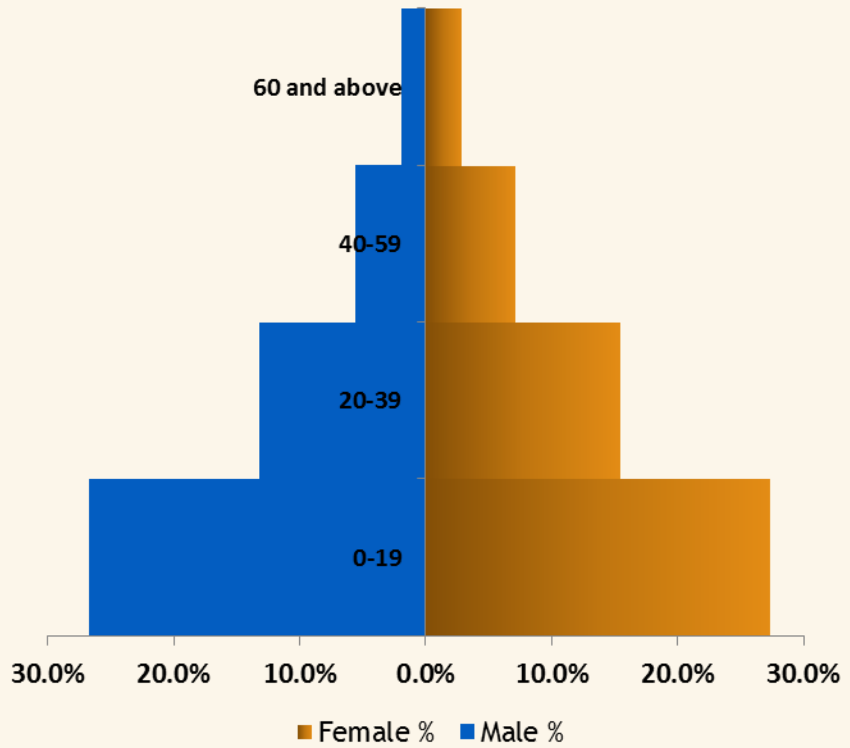


Healthy GDP growth with moderating inflation



Source: Ministry of Finance and Economic Planning, World Bank,

Population Pyramid for Rwanda

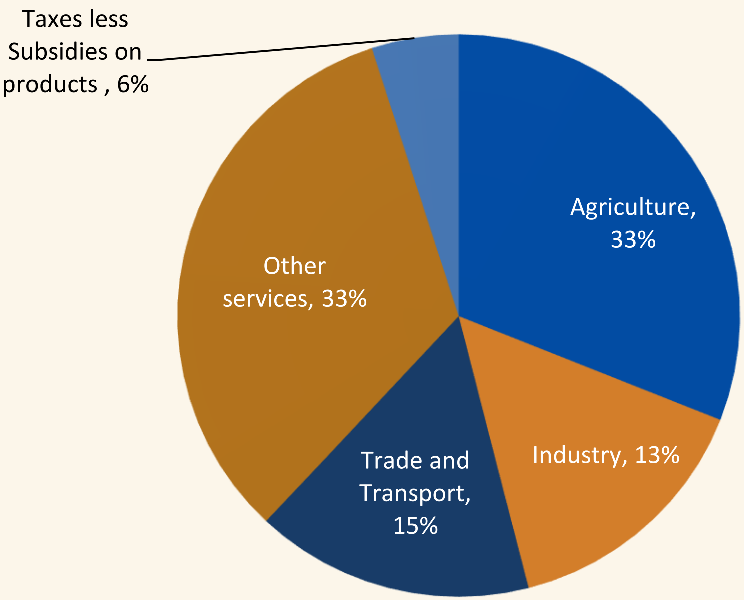


- 54% of the population is under 19 years.
- 83% of the population is under 40 years.
- 3% of the population over 65 years.

Source: National Institute of Statistics of Rwanda

Macroeconomic Indicators

GDP Breakdown By Economic Activity 2016



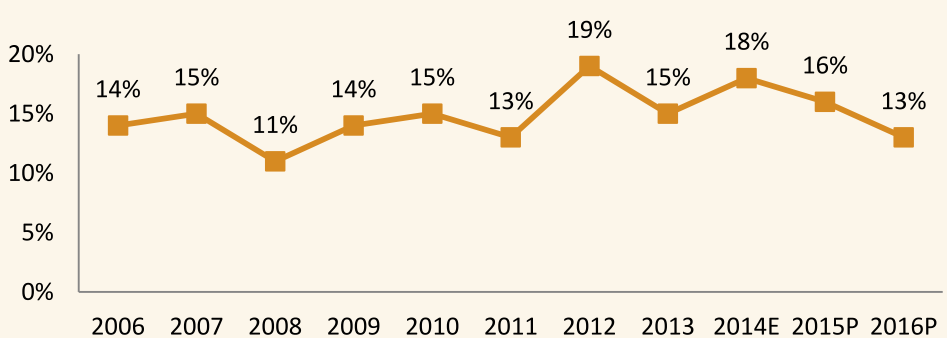
Source: National Institute of Statistics of Rwanda

Trade Structure

- Rwanda's exports are dominated by coffee, tea and minerals (tin, coltan and wolfram).
- The country remains a net importer. Major imports include fuel and oils, intermediary goods especially construction materials, consumer goods, and capital goods.
- Total imports of goods constitute 77.19 % of total trade in goods (US$ 481.10 million), while total exports (US$ 96.14 million) and re-exports (US$ 46.01) constitute 15.43% and 7.38 %, respectively

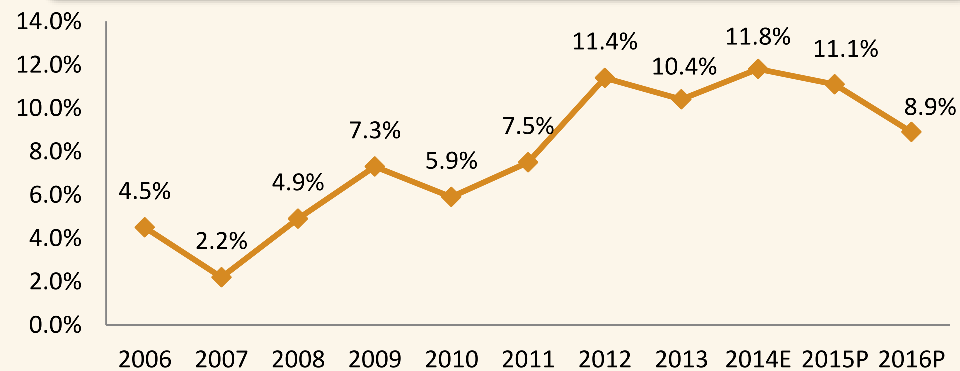
Source: BNR Monetary Policy Statement

Trade Deficit as a % of GDP



Source: Ministry of Finance and Economic Planning

Current Account Deficit as a % of GDP



Source: National Institute of Statistics of Rwanda, African Economic Outlook

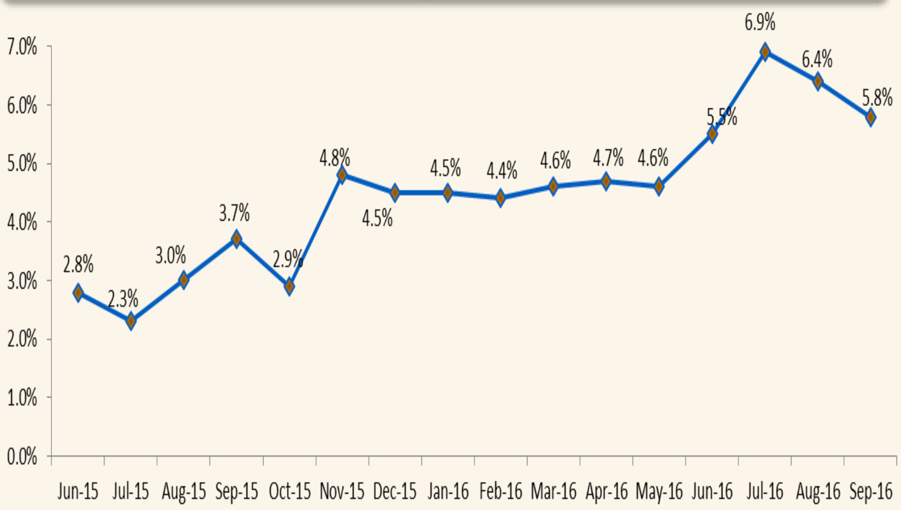
Review of the Macro Economic Environment

Macro Economic Review

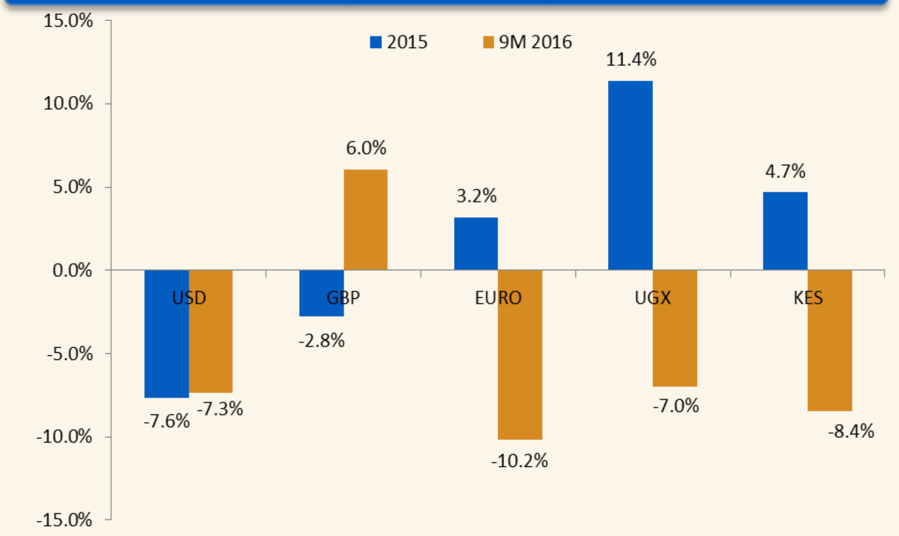
- In Q2 2016 GDP at current market prices was estimated to be FRw 1,549 billion, up from FRw 1,428 billion in the same quarter of 2015. Real GDP was 5.4 percent higher in real terms compared to the same quarter of 2015.
- The Services sector contributed 48 percent of GDP while the agriculture sector contributed 33 percent of the GDP. The industry sector contributed 13 percent of the GDP and 6 percent was attributed to adjustment for taxes and subsidies on products.
- In this quarter, "Agriculture sector" grew by 3 percent and contributed 0.9 percentage points to the overall GDP growth. Activities in the "industry sector" decreased by 2 percent and contributed negative 0.3 percentage points. "Service sector" increased by 9 percent and contributed 4.4 percentage points to the overall GDP.
- Generally, inflation in Rwanda continues to record moderate and low levels though it has been increasing since January from 1.4% to 5.8% in Sep 2016.

Source: National Institute of Statistics of Rwanda, BNR Monetary Policy & Research Department
African Economic outlook

Inflationary Environment



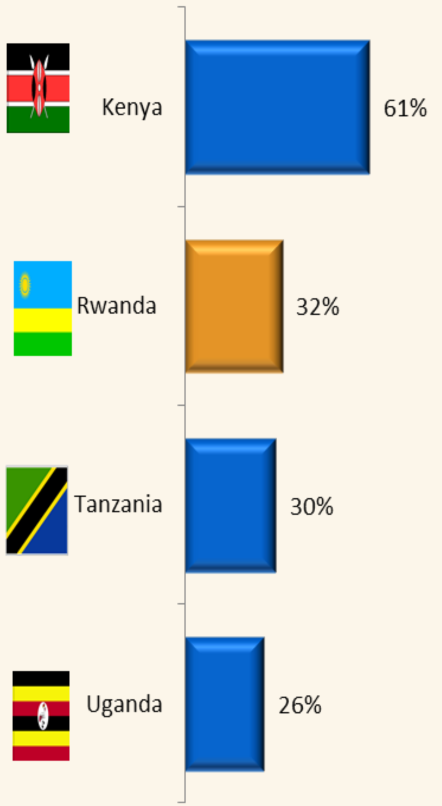
Exchange Rate Developments



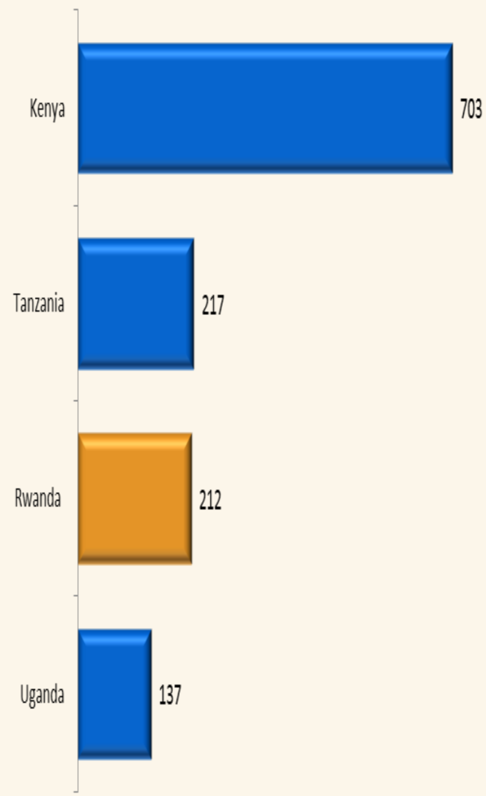
BANKING SECTOR OVERVIEW

Significant Banking Sector Potential

Banking Assets/GDP



Banking Assets Per Capita[5]



(1) Source: Exotic Frontier Equities
(2) Source: National Bank of Rwanda YE 2013 Monetary Policy Statement
(3) Source: Population stats by World Bank

Large Unbanked Population

- Economy is moving away from being cash-based through the various financial inclusion initiatives being undertaken by financial institutions including the launch of agency banking and mobile money transfer services.
- Approximately 72% of the population have or use financial products or mechanisms including those offered by non- bank formal financial institutions such as SACCOs

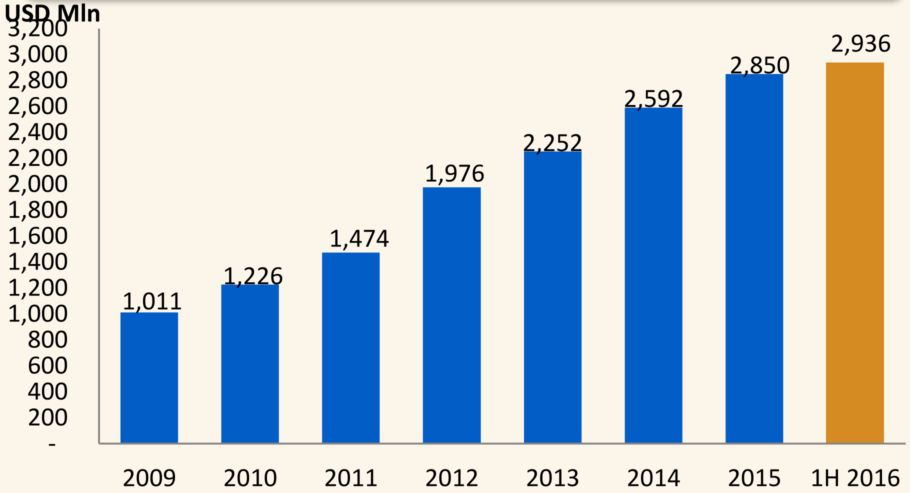
Source: Finscope Rwanda 2012

Prudential Regulations

CAR (Tier One)	10%
Total CAR	15%
Liquidity Ratio	20%
Cash Reserve Ratio	5% of total deposits
Lending in foreign currency	Restricted to clients generating cash flows in FX

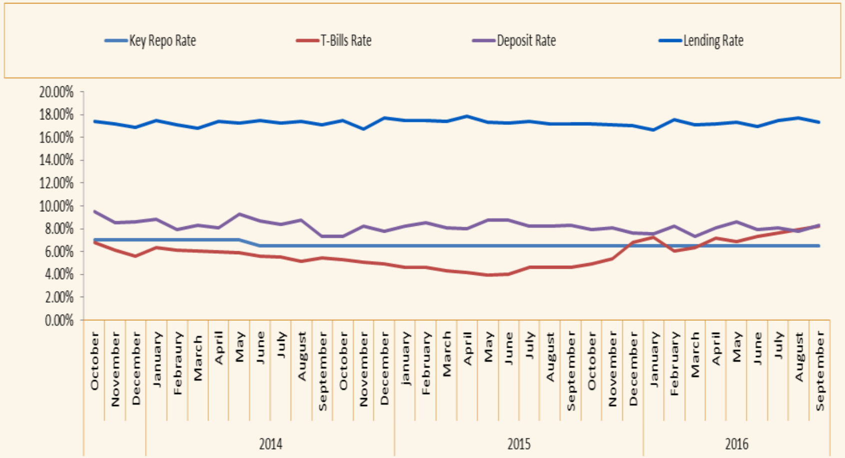
Banking Sector Overview

Rwanda Banking System Total Assets



Source: BNR Supervision Department

Interest Rate Analysis



Banking Sector Review

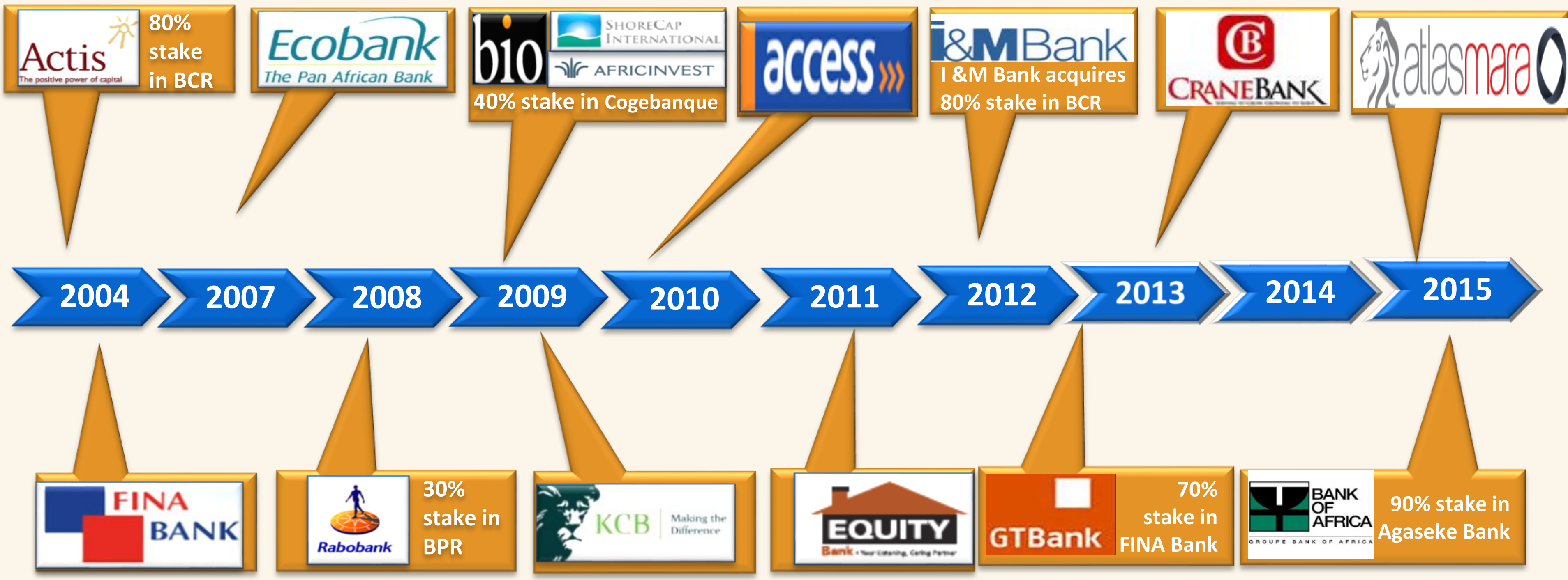
- Total assets of the industry registered annual growth rate of 13.9% in June 2016, from FRw 2.0 trillion in June 2015 to 2.3 trillion in June 2016
- The capital adequacy ratio (CAR) stood at 23.3% in June 2016 well above Basel committee benchmark of 13% and the BNR regulatory minimum requirement of 15%
- Profitability indicators reduced Compared to the same period in 2015, Return on assets (ROA) and return on equity (ROE) as at June 2016 decreased to 9.2% and 1.7% respectively from 2.4% and 13.1% as at June 2015.
- The asset quality of the industry is generally improving with however non-performing loan ratio (NPLs ratio) increased to 7.0% as June 2016 compared to 5.9% recorded in June 2016.

Source : BNR Supervision Department

Recent Regulatory Reforms To Improve Access To Credit

- Enactment of Law on Mortgages, requiring the registration of mortgages and enabling lenders to foreclose on defaulters
- Establishment of Commercial Courts dealing solely with commercial disputes
- Reorganization of the Land Centre which has computerised records and operations in addition to timely issuance of property titles
- Reorganization of the Office of the Registrar General to enhance and fast track registration of mortgages and foreclosures
- Establishment of Credit Reference Bureau to enhance information sharing among banks and other financial institutions in order to assist with credit risk assessment

Timeline of Foreign Investment In The Rwandan Banking Sector

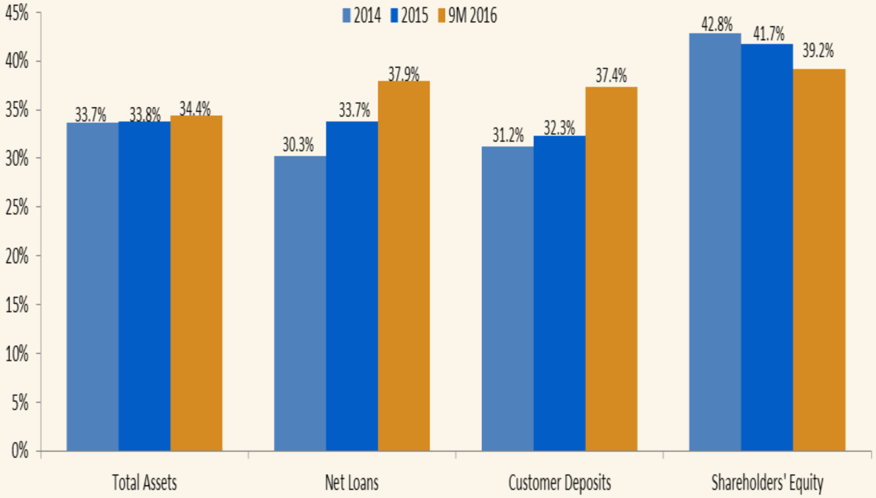


	2010	2011	2012	2013	2014	2015	9M 2016
Bank of Kigali Market Share by Total Assets	27.4%	32.3%	31.7%	35.8%	33.7%	34.1%	34.4%

* Market share among commercial banks – BK Analysis

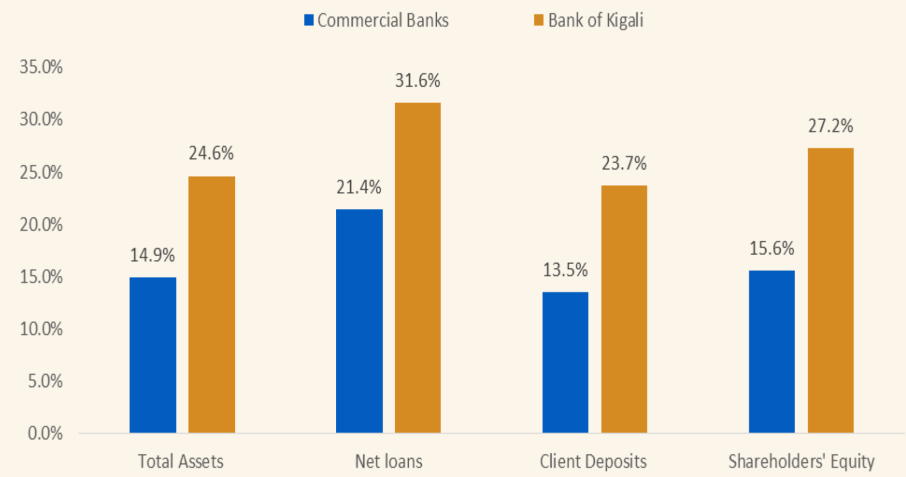
Competitive Landscape

Market Share Dynamics

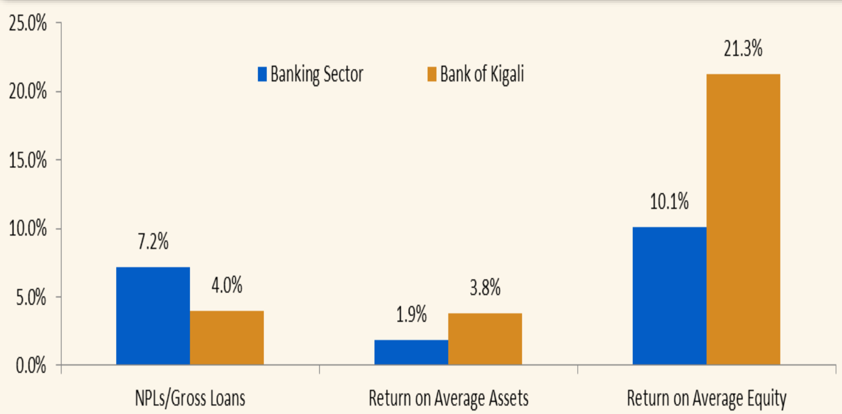


Source: 9M2016 Published Financial Statements *BPR 1H Published financials

Bank of Kigali Growth vs. Commercial Banks' Growth, CAGR YE 2011 –2016

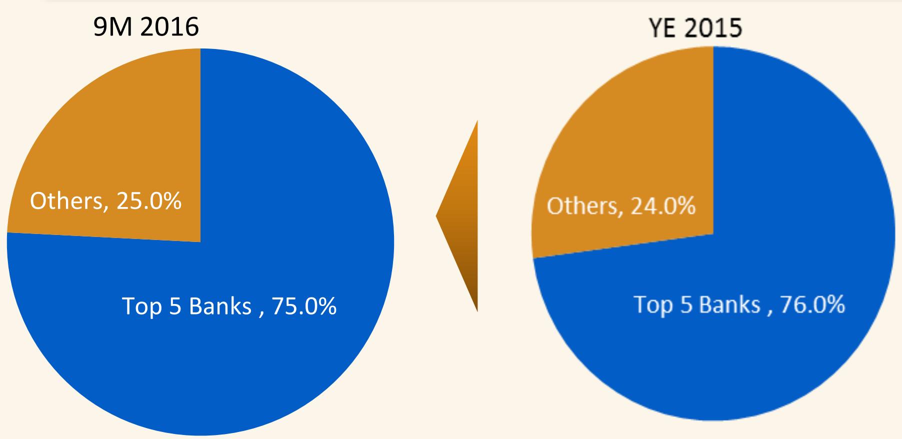


Selected Indicators 9M 2016



Source: BNR Supervision Department , BK Q3 & 9M 2016

Concentration of Banking Sector Assets



Source: 9M2016 Published Financial Statements *BPR 1H Published financials

Strong Market Leadership – 9M 2016

Rank	Total Assets		Net Loans		Customer Deposits		Equity	
1	BK	34.4%	BK	37.9%	BK	37.4%	BK	39.2%
2	I&M Bank	11.1%	BPR	11.3%	BPR	10.3%	BPR	10.7%
3	BPR	10.7%	I&M Bank	10.7%	Ecobank	10.0%	I&M Bank	9.9%
4	Cogebanque	9.6%	Cogebanque	9.4	I&M Bank	9.9%	Equity	8.1%
5	Ecobank	9.2%	KCB	9.0%	KCB	8.0%	Cogebanque	7.8%
6	KCB	8.6%	Equity	7.2%	Cogebanque	7.3%	Ecobank	6.5%
7	Equity	6.3%	Ecobank	7.1%	Equity	6.6%	KCB	5.4%
8	Access	4.3%	GTBank	3.6%	Access	4.8%	GTBank	3.9%
9	GTBank	4.2%	Access	3.1%	GTBank	4.5%	Access	3.9%
10	Bank of Africa	1.0%	Bank of Africa	0.7%	Bank of Africa	0.7%	Bank of Africa	2.6%
11	Crane Bank	0.7%	Crane Bank	0.0%	Crane Bank	0.5%	Crane Bank	2.0%

Source: 9M 2016 Published Financial Statements *BBPR 1H Published financials

BANK OVERVIEW

Background and History

1966 – Established in 1966 as a JV with Belgolaise S.A

2006 – Government of Rwanda acquired 50% stake from Belgolaise becoming 100% shareholder

2006 – Current management team assembled

2009 – New strategy focusing on the universal banking business model and profitable growth adopted

2009 – Supervisory Board enhanced & internationalized

2010 – A+ credit rating by GCR (Global Credit Rating)

2011 – US$62.5 mln Initial Public Offering of 45% of its shares and listing on the RSE

2011 – AFD loan signed:
- US$ 20 mln
- 10 years

EIB Loan £5 mln

AfDB loan signed:
-US$12 mln
-10 years

2013 – Signed lines of credit with:
- PTA Bank- US$ 10 mln
- OFID- US$ 10 mln
- EADB- US $10 mln

2015
- Shelter Afrique loan $10 mln
- Launch of BK Registrars
- Launch of Mastercard

A Snapshot of Bank of Kigali

Key Facts

- The leading bank in Rwanda (33.4% market share by Total Assets as at 30 Sept 2016), offering a wide spectrum of commercial banking services to Corporate, SME and Retail customers
- As at 30 Sept 2016 the Bank had:
  - Over 26,000 Corporate clients
  - Over 267,000 Retail clients
  - 78 branches
  - 90 ATMs and 983 POS
  - 1,174 employees
  - 1,240 Agents
- Western Union, Money Gram services for International Transfers

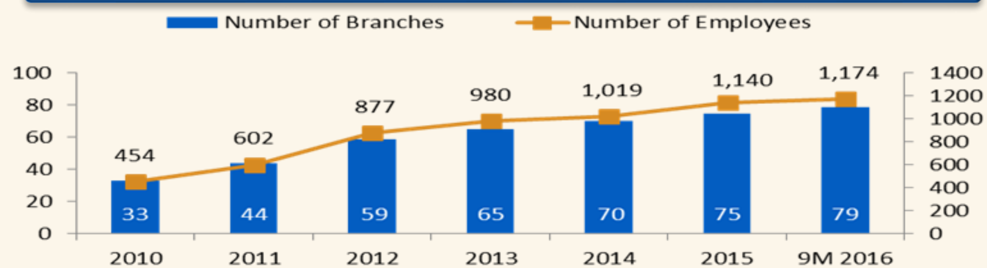
US$ million	2010	2011	2012	2013	2014	2015	9M 2016	CAGR 2011-2016
FRw/USD Period End rate	***594.4***	***604.4***	***630.6***	***670.2***	***686.1***	***725.0***	***770.0***	
Total Assets	332.6	476.3	511.9	630.2	703.4	774.1	774.6	*24.6%*
Net Loans	170.6	203.7	293.5	297	340.3	433.0	520.1	*31.6%*
Client Deposits	228.3	299.5	330.5	418.5	473.1	530.6	510.0	*23.7%*
Shareholders' Equity	53.6	101.9	100.1	105.7	130.5	136.9	139.9	*27.2%*
Net Income	10.4	14.4	18.5	22.0	26.7	28.2	21.4	

Growth figures are calculated on FRw Values.

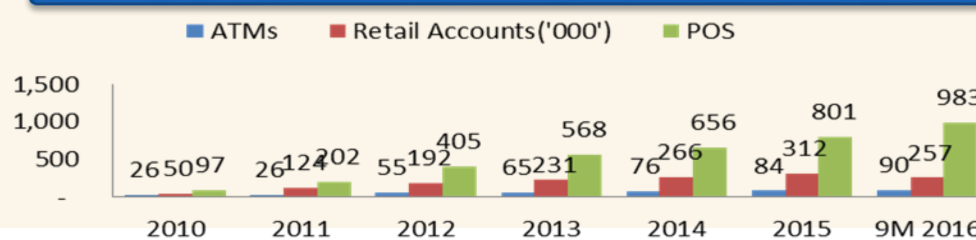
Market Share	2010	2011	2012	2013	2014	2015	9M 2016
Total Assets	*27.4%*	*32.3%*	*31.7%*	*35.8%*	*33.7%*	*34.1%*	*33.4%*
Net Loans	*31.5%*	*29.4%*	*31.5%*	*31.5%*	*30.3%*	*33.9%*	*36.2%*
Client Deposits	*25.9%*	*28.2%*	*28.1%*	*32.2%*	*31.0%*	*32.6%*	*32.5%*
Shareholders' Equity	*32.2%*	*41.9%*	*41.9%*	*44.3%*	*43.0%*	*43.0%*	*35.5%*

Source: : BNR Supervision Department , BK Q3 & 9M 2016

Branch Network Evolution



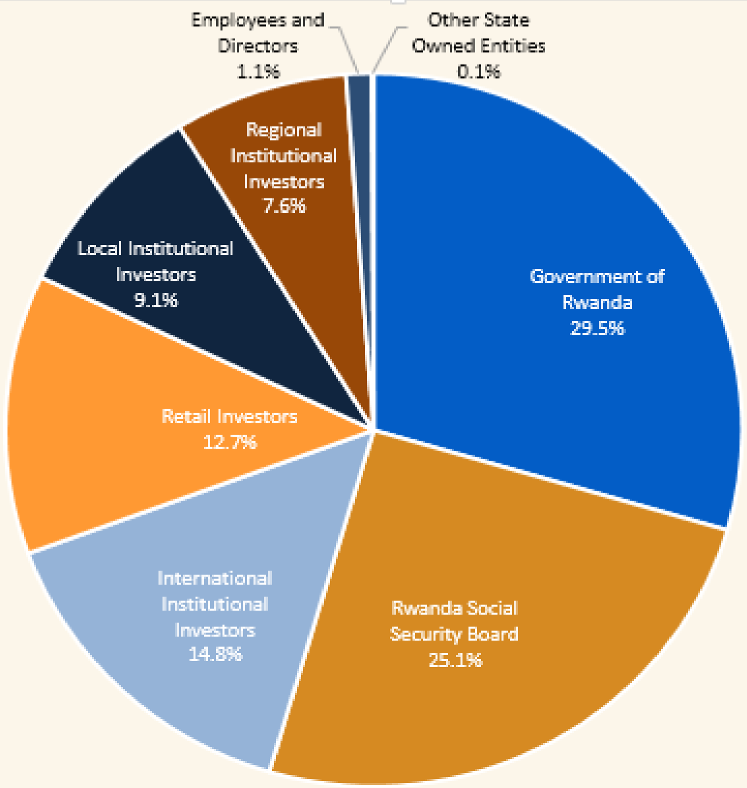
Growth in ATMs, POS Terminals and # of Retail Current accounts



CORPORATE GOVERNANCE

Shareholding Structure & Corporate Governance

Shareholding Structure as at 30 September 2016



Free float- 45%

Corporate Governance

- The Board has Seven independent non-executive directors (including two non-resident directors with extensive expertise in international banking practices)
- The Board of Directors is appointed by the shareholders and approved by the Central Bank and meets on a quarterly basis or more frequently as the business demands.
- The Board sets the strategy and retains full responsibility for the direction and control of the Bank as spelled out in the Memorandum and Articles of Association, the Board Charter and the BNR Corporate Governance guidelines.
- The Board sub-committees have clear TORs which underscore the scope and context of their mandate and performance as approved by the Board & the BNR Corporate Governance regulation.
- The Board receives detailed financial information and regular presentations from the management on the Bank's business performance; this enables the Directors to make informed decisions on governance, strategic, financial and operational issues.

Share Trading Performance

	30 September 2016
Current price, FRw	265
Market Cap, US$ mln	219
Free float	45%
Free float in US$ mln	108.1
Average daily turnover in US$ mln	0.44
Common shares outstanding, mln shares	672.2
12-month high	267
12-month low	264
P/E 2016 (based on current price)	7.66x
P/BV 2016 (based on current price)	1.58x
Dividend yield, 2015 (based on current price)	4.3%
EPS, 2016	33.1
Ticker Code	BOK
Bloomberg	BOK. RW
FRw/USD Exchange Rate of 810.09 as at 30 September 2016 (BNR Middle Rate)	
Capital gains on RSE transactions are exempted from Capital Gains Tax	

Analyst Coverage

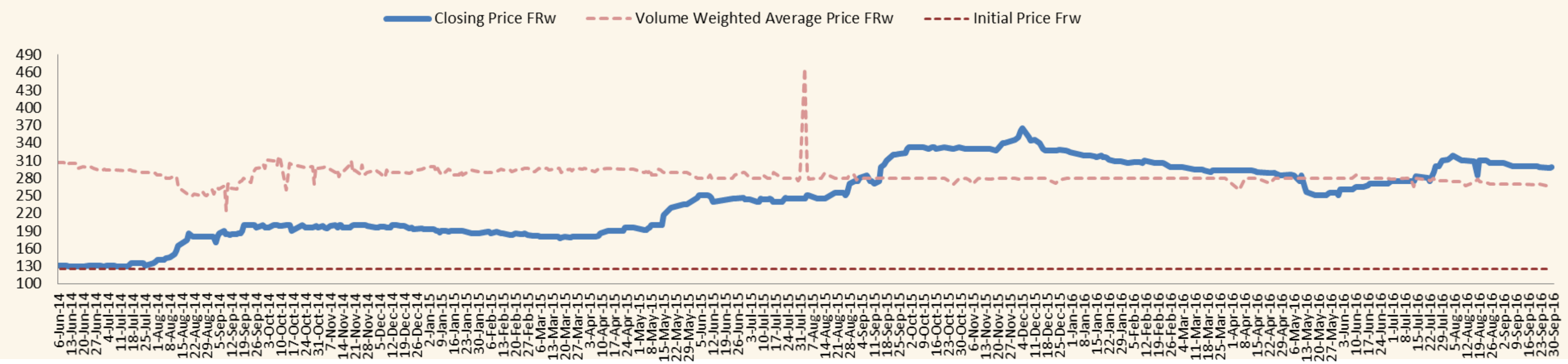
Renaissance Capital

Recommendation: **HOLD**
Target Price: **FRw 319**
Last coverage report: February 2016

EXOTIX PARTNERS

Recommendation: **BUY**
Target Price: **FRw 370**
Last coverage report: June 2016

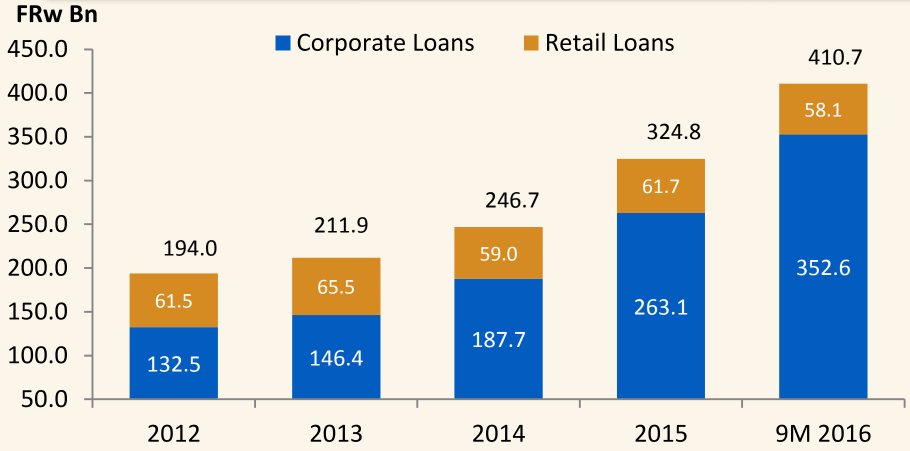
Share Price Performance



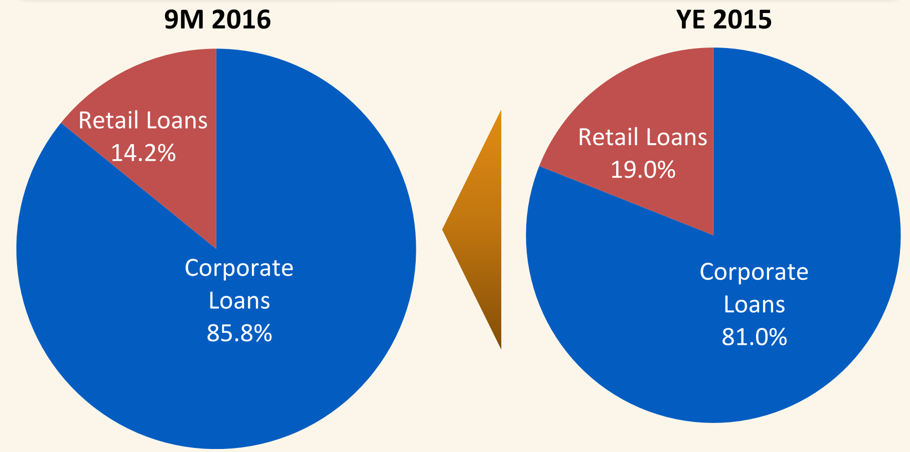
BUSINESS OVERVIEW

Overview of the Loan Book

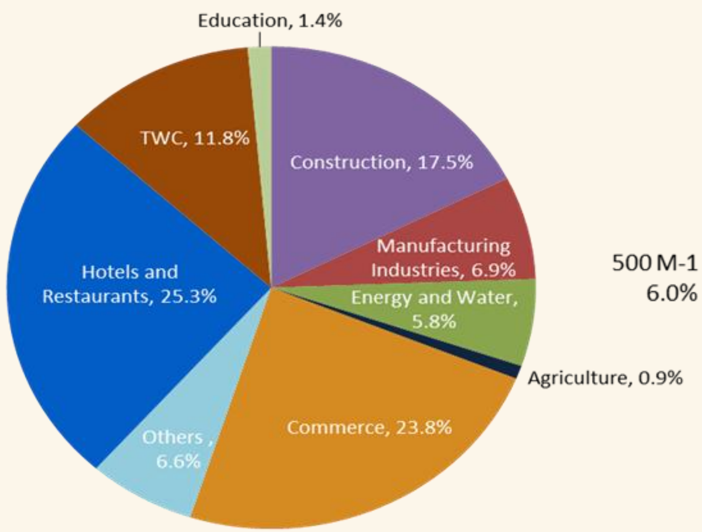
Gross Loan Portfolio



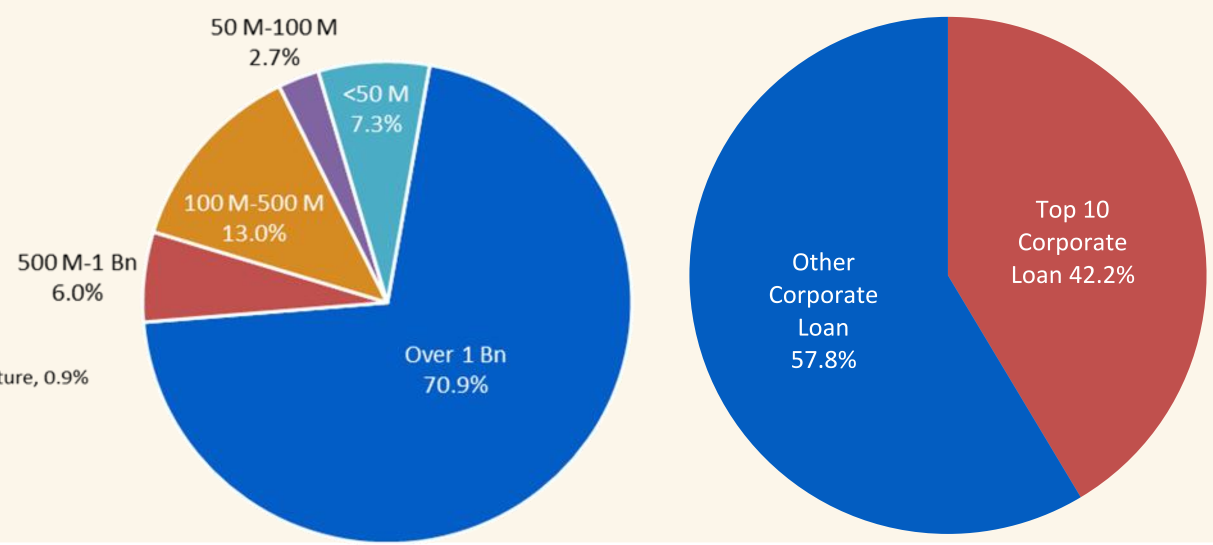
Loan Book Segmentation



Total Loan Book 9M 2016



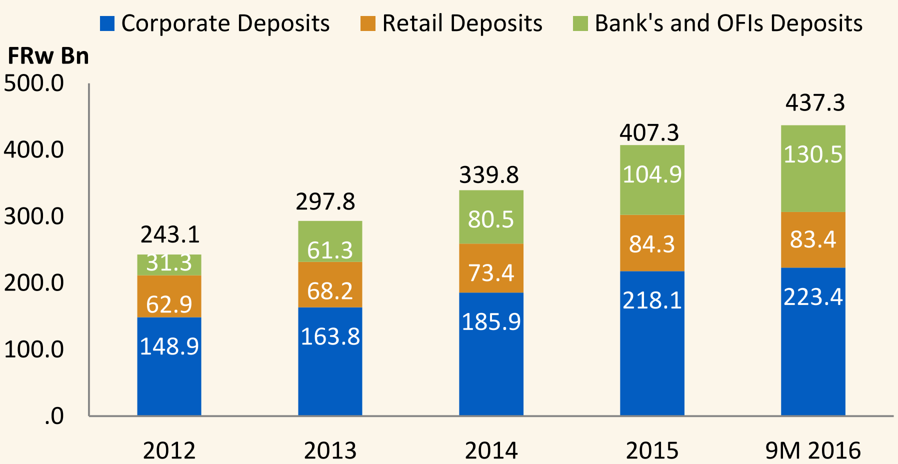
Corporate Loan Book 9M 2016



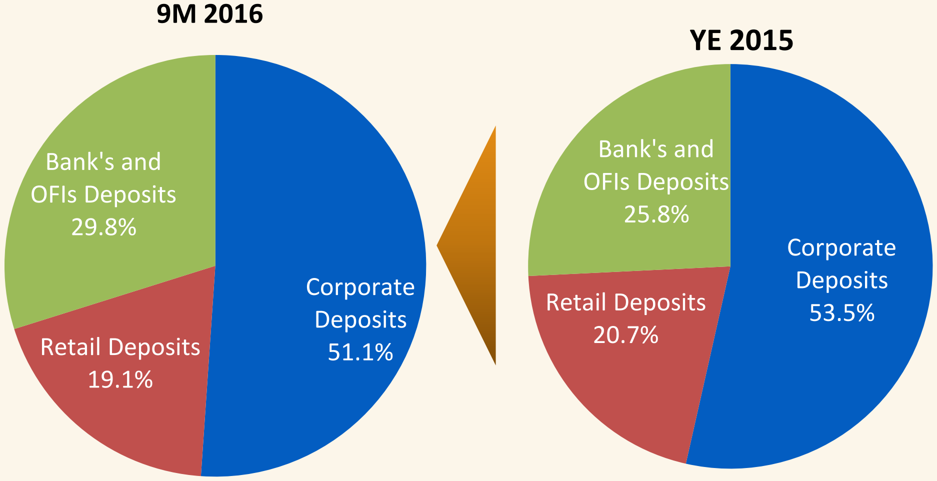
*TWC- Transport, Warehousing and Communication

Overview of Deposit Structure

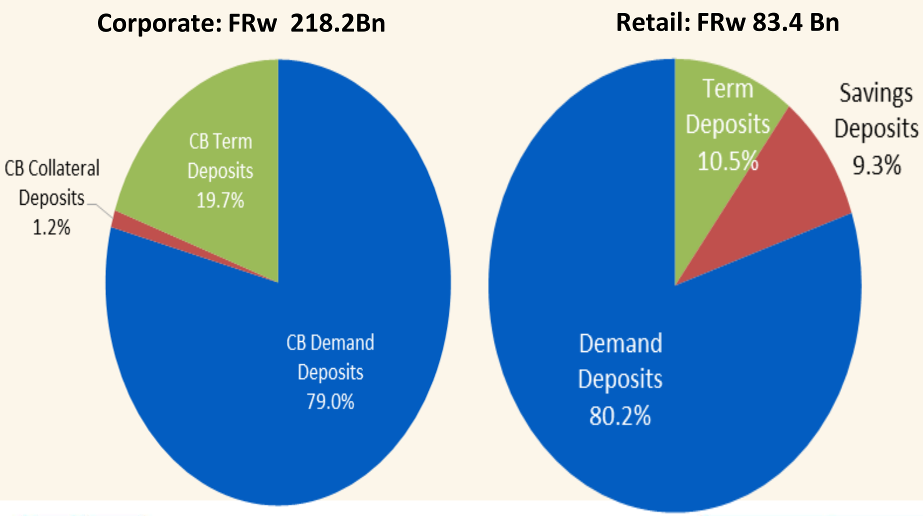
Total Deposits Growth



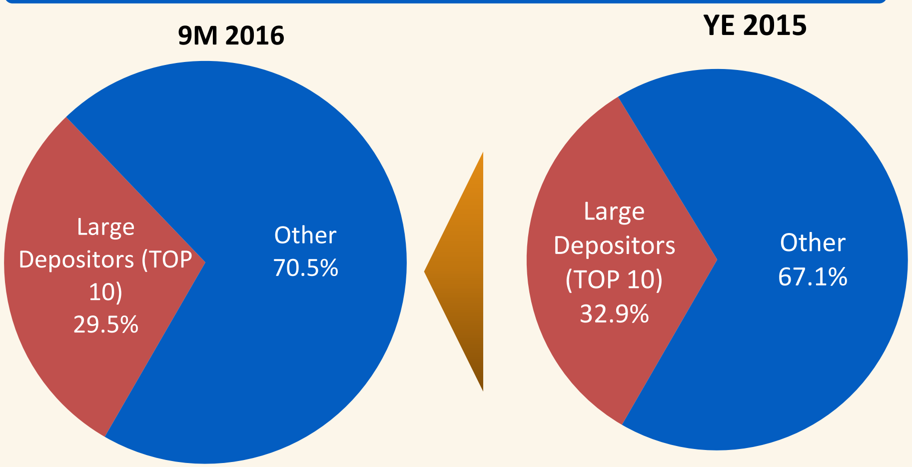
Customer Deposit Segmentation



Structure of Deposits, 9M 2016



Customer Deposits Concentration



* depositors with total balances above 5% of shareholders' equity

Corporate Banking

Description

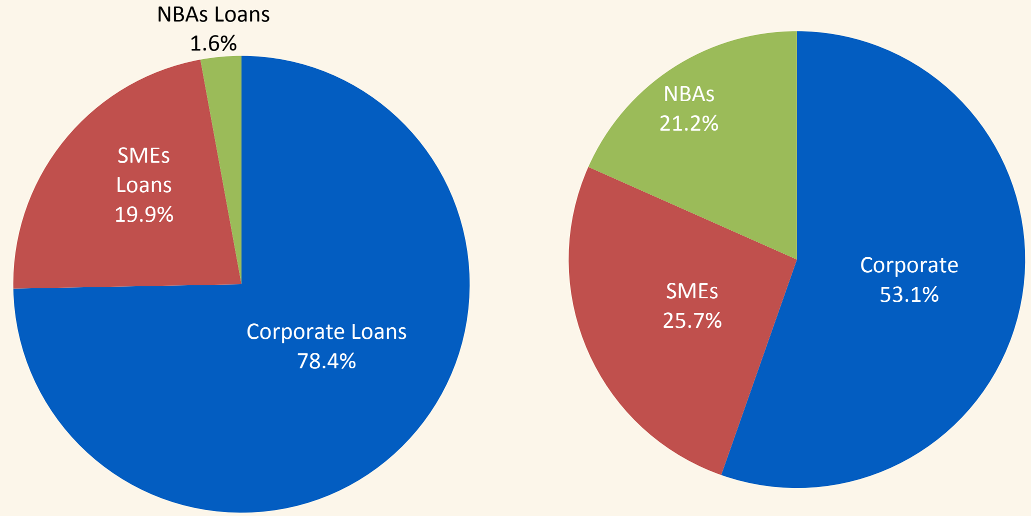
- Clients include corporate, SMEs and NBAs*
- Interest rates are in the 16.0% - 18.5% range.
- Key products:
  - CAPEX loans: long-term loans for investment or expansion of the business
  - Commercial mortgage loans: typical customer participation at 30% of property value, typical tenor of up to 10 years
  - Working capital loans: financing business needs to an agreed limit for a short period (usually <1yr)
  - Overdrafts
- Strategy
  - Introduce new services, integrate client coverage
  - Grow and consolidate market share
  - Leverage superior lending capacity
  - Focus on payroll services

*NBAs (Non Business Associations) include Non-Profit Organizations, Charities, Religious institutions, Educational Institutions, Cooperatives, etc.

Tolirwa

Merez Petroleum

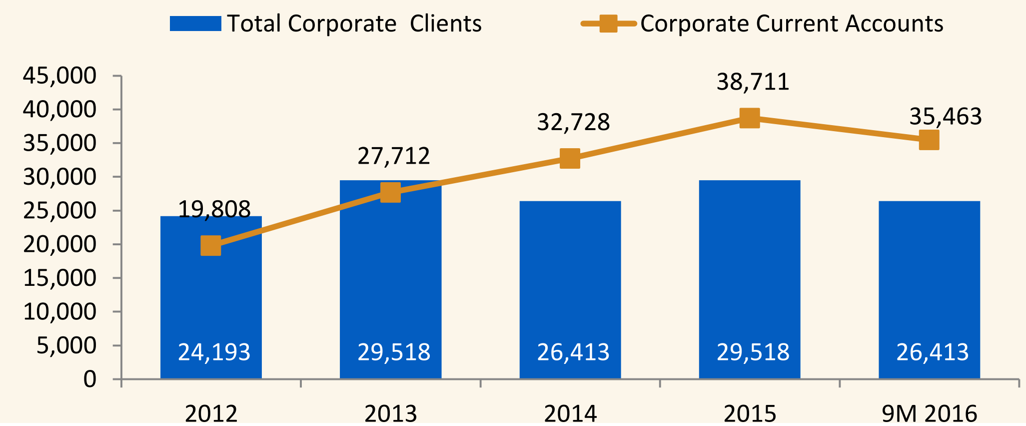
Key Segments at 9M 2016



Corporate Loans: FRw 352.6 Bn

Corporate Deposits: FRw 223.4Bn

Number of Corporate Accounts



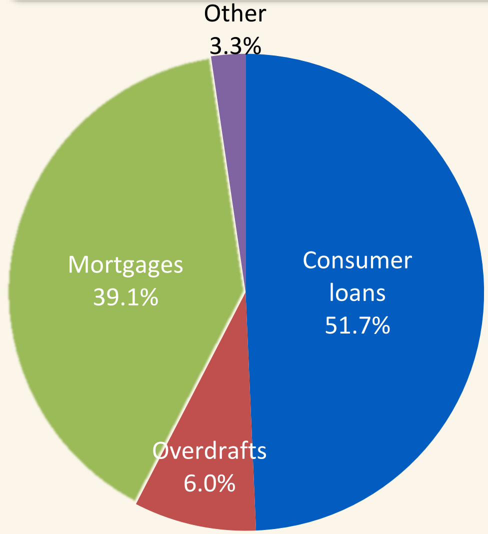
Executing The Retail Strategy

Retail Banking

Description

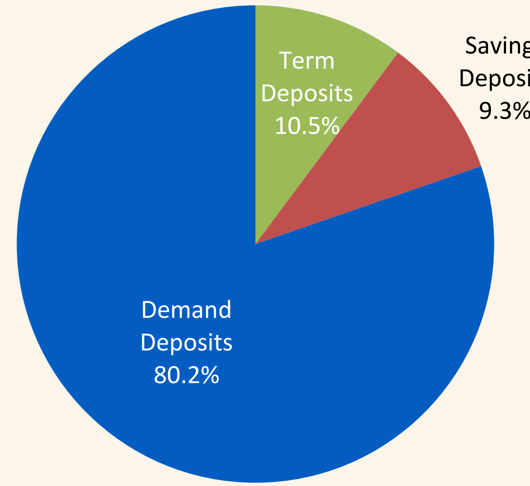
- The Bank's retail business is primarily focused on mortgages and consumer loans with notable share of salary backed overdrafts
- Key products:
  - Mortgage loan: up to 15 years with typical customer participation at 30% of property value
  - Consumer loan: up to 12x monthly salary and 48 months
  - Overdraft: up to 60% of monthly salary (normally repaid in 30 days)
  - Other products include credit cards and asset based financing
- Strategy:
  - Build a ubiquitous branch footprint throughout the country
  - Build sufficient channel capacity to be able to service 500,000+ clients by 2016
  - Build out the retail product lineup to achieve relevance to the daily lives of the banked population
  - Expand credit card/debit card offering to other providers (MasterCard)

Retail Lending



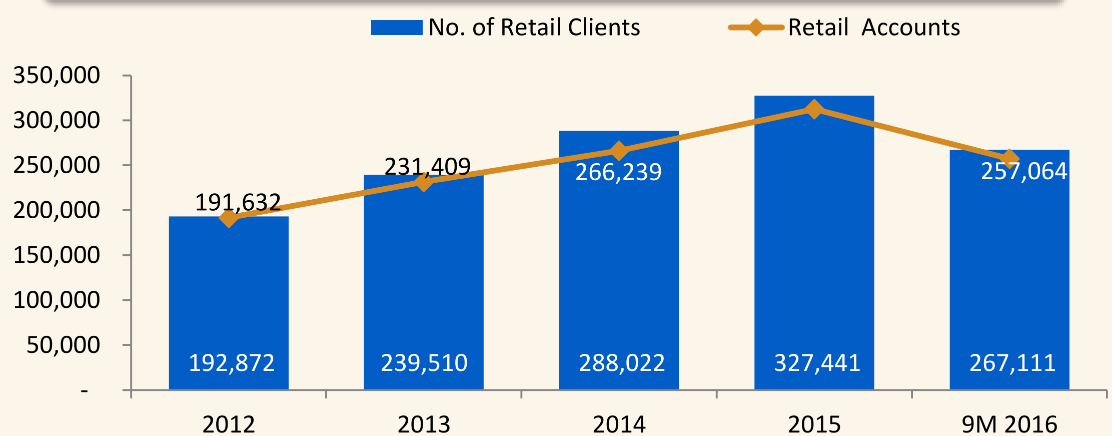
Retail Loans: FRw 58.1 Bn

Retail Deposits



Retail Deposits: FRw 83.4 Bn

Retail Client Accounts



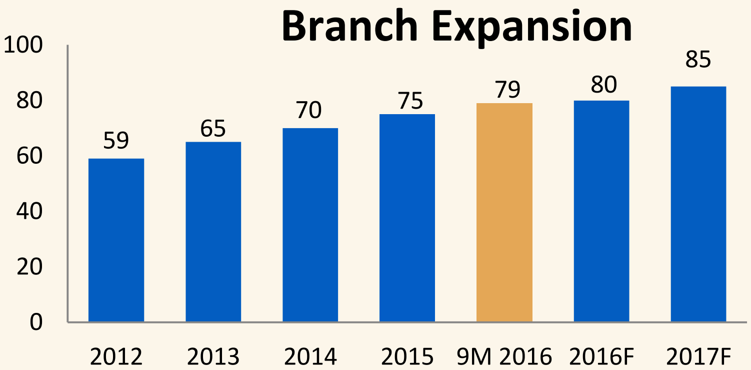
Our Products

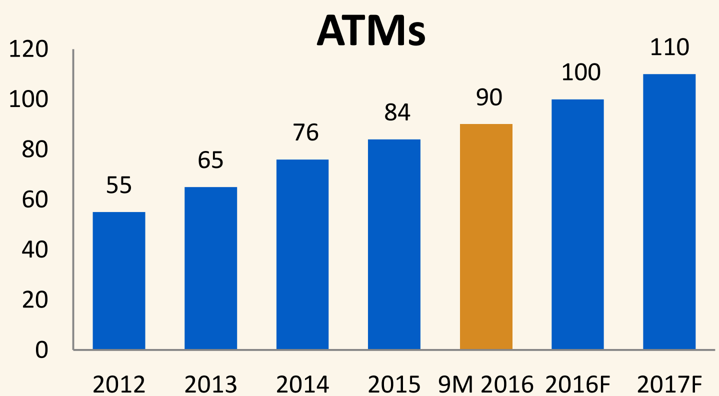
BK CASH POINT

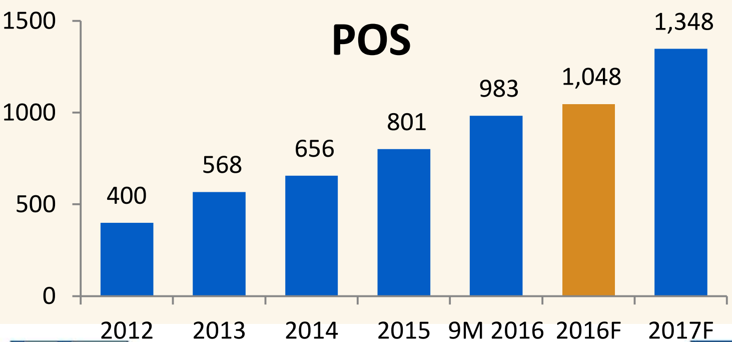
Source: Bank of Kigali

Growing Our Distribution Network

Ubiquitous footprint

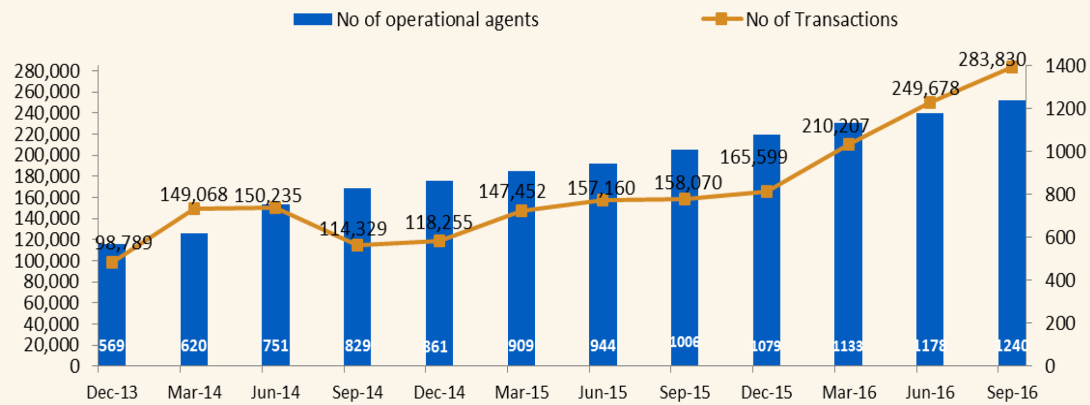






Agency Banking

- Agency Banking platform BK Yacu began operating in Nov 2012.
- Expanded the agency banking network to 1240 operational agents as at 30 September 2016
- Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.



Other Initiatives

- A total of 9 mobile vans have been deployed across the country
- Launch Airtel Money across all branches

Expanding Our Self Service Products

Growing our Card Business

Key Achievements

- Launch of MasterCard line of products
- Launch of e-Commerce acquiring
- Over 200,000 Visa debit & credit cards currently in circulation
- Union Pay and Diners Club Card Acquiring and Amex ATM acquiring
- Deposit-taking ATMs

2016 Targets

- Issuing of MasterCard Contactless cards
- Credit card issuing of 5,000 cards
- Launch of MasterCard Corporate Credit Card
- Implementation of MasterCard World loyalty program

Increasing our Mobile Product Offering

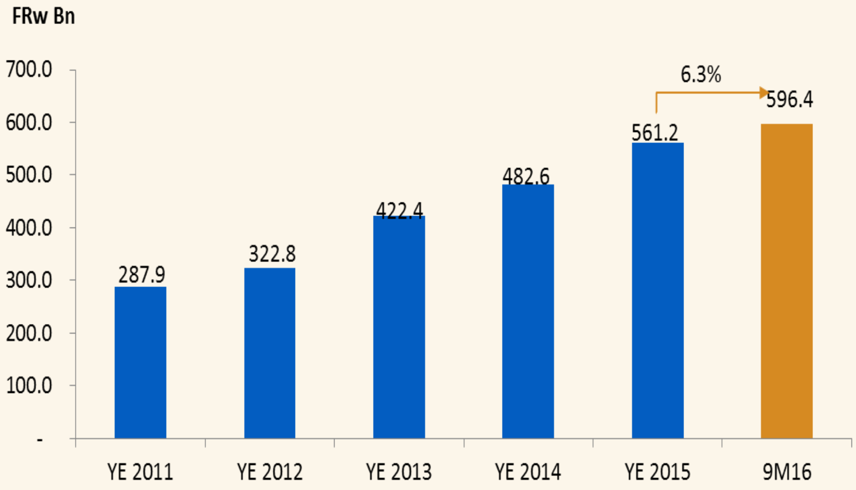
Enhancing our mobile banking service

- Our mobile banking service Mobiserve allows customers to perform the following transactions:
  - Send money to any mobile phone user regardless of whether they operate a bank account or not
  - Purchasing prepaid TV, airtime and electricity
  - Check Balances and Bank information
  - Order cheque books
- 358,810 Mobiserve users as of 30 September 2016.

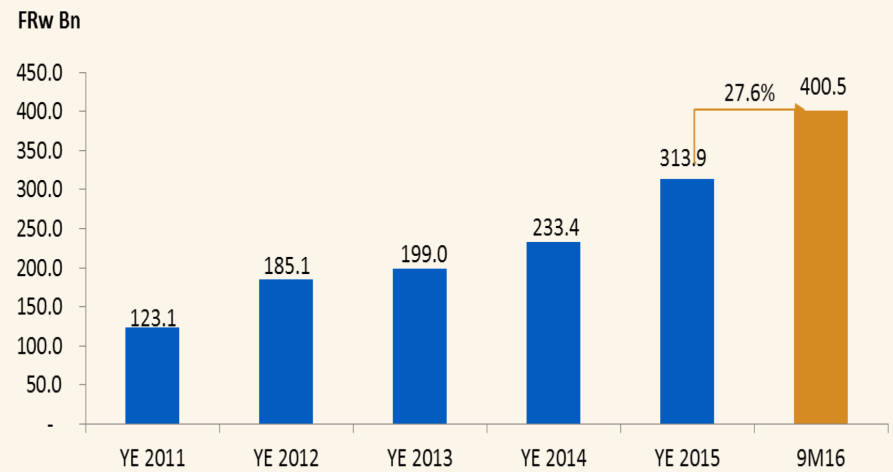
REVIEW OF FINANCIAL PERFORMANCE

Balance Sheet Highlights

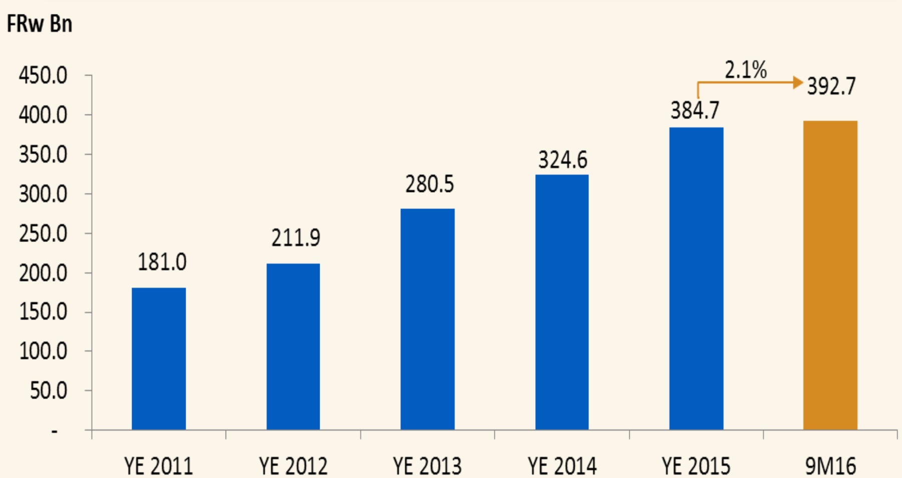
Total Assets



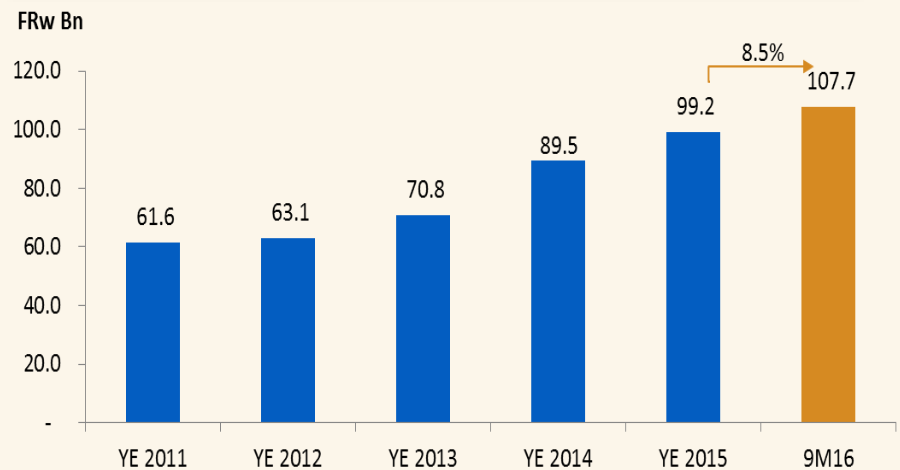
Net Loans and Advances



Customer Balances and Deposits

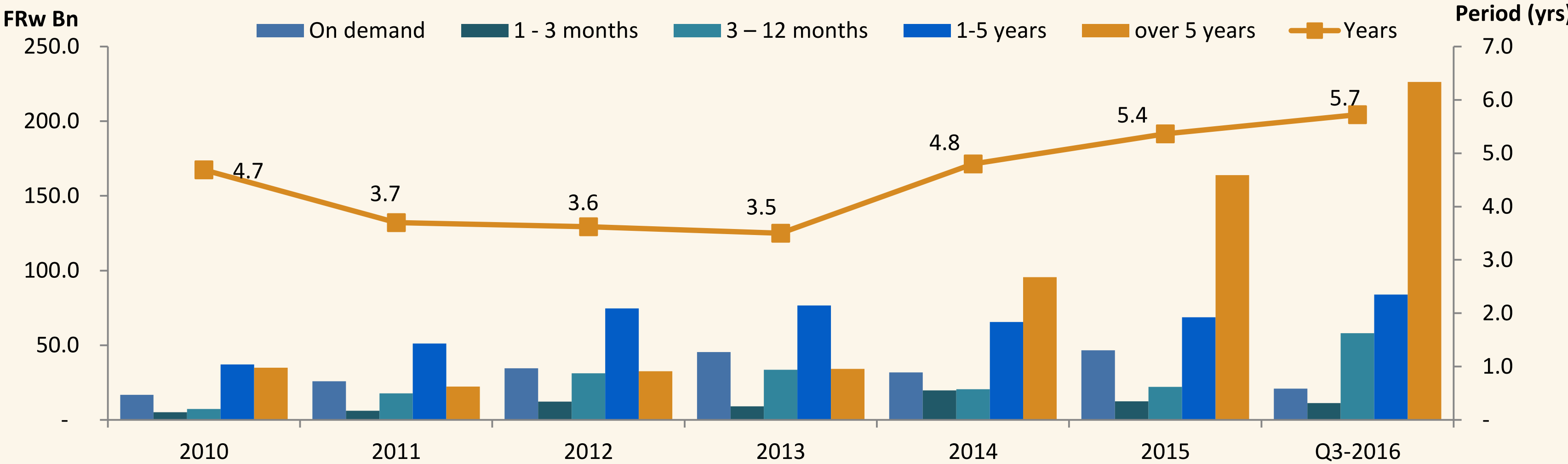


Shareholder's Equity

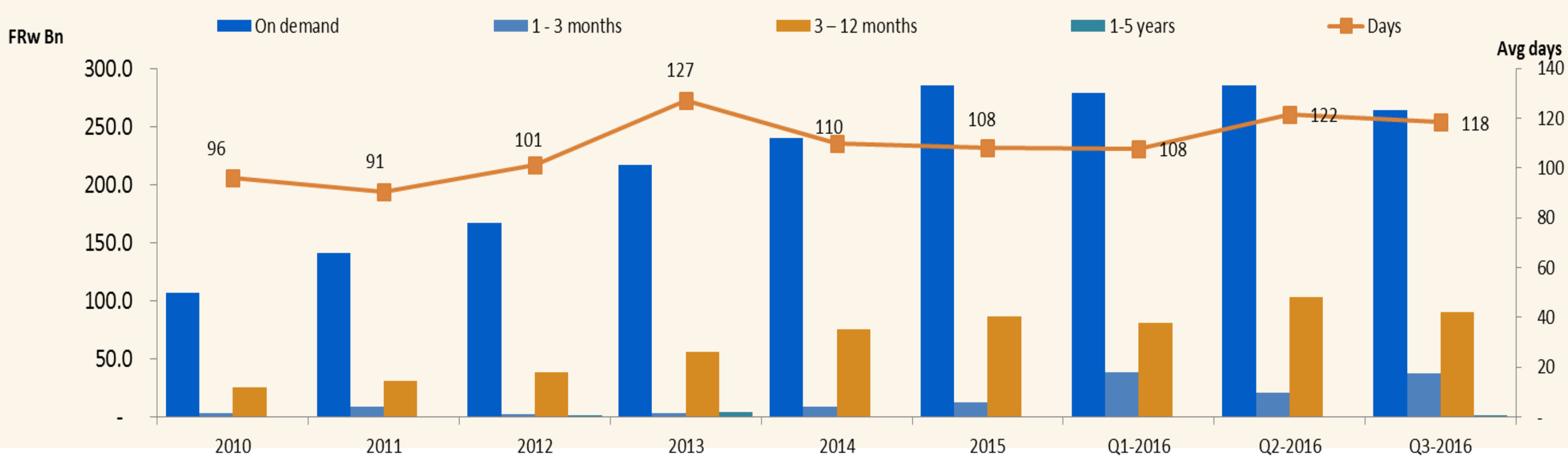


Maturity Profile

Loans and Advances to Clients

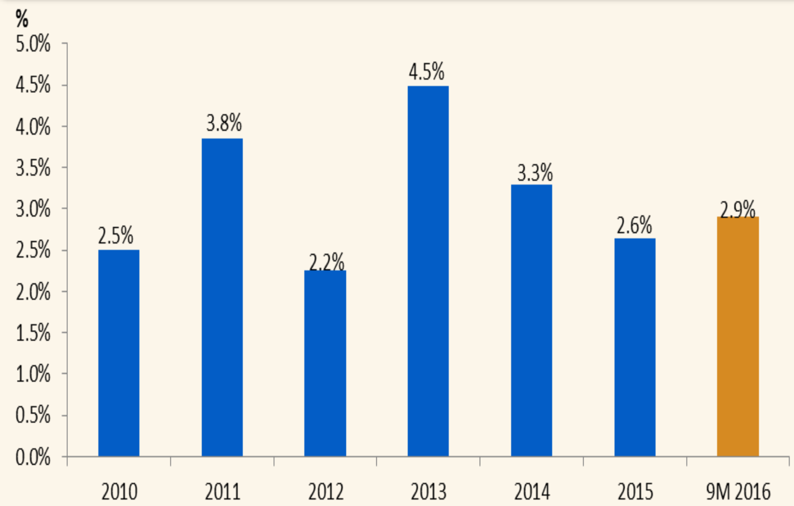


Customer Balances and Deposits



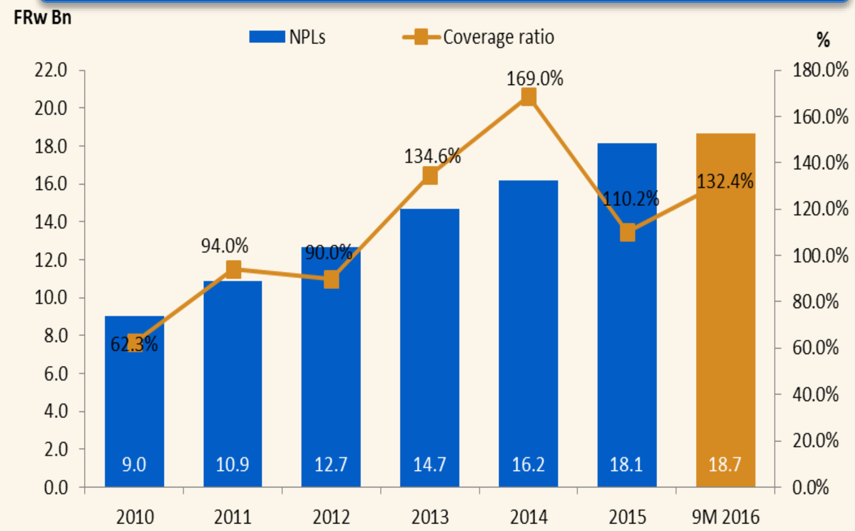
Asset Quality

Cost of Risk**, %

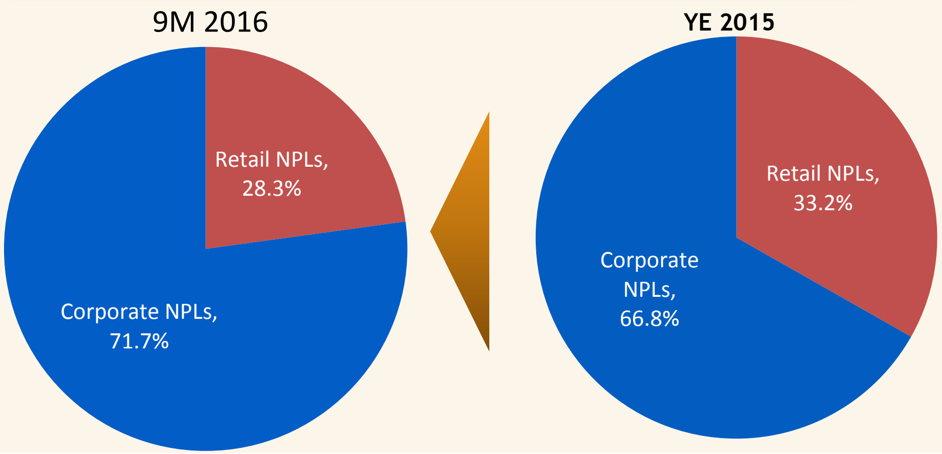


Notes: ** LLP charge / Average gross loans for period

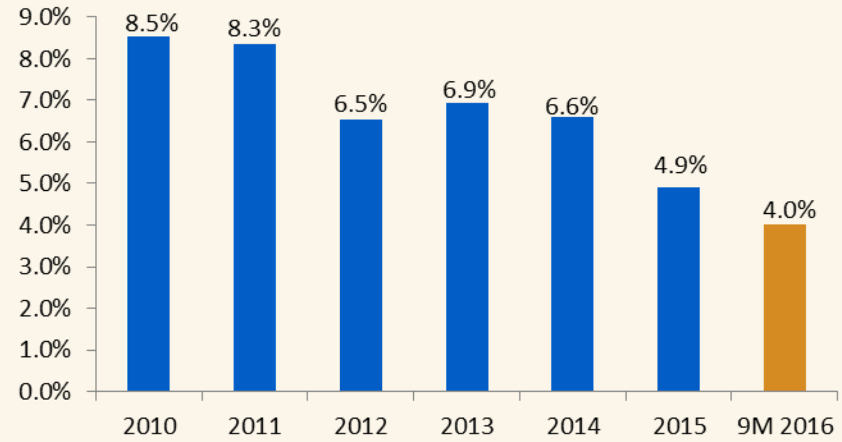
Improving Coverage Ratio



NPLs by segment

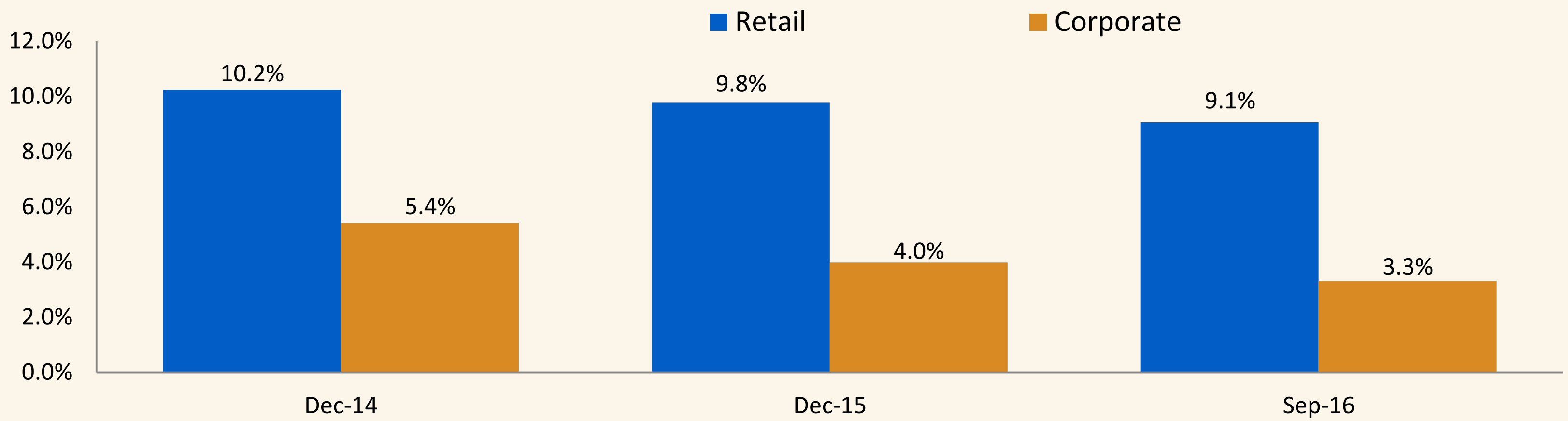


Manageable NPLs Ratio

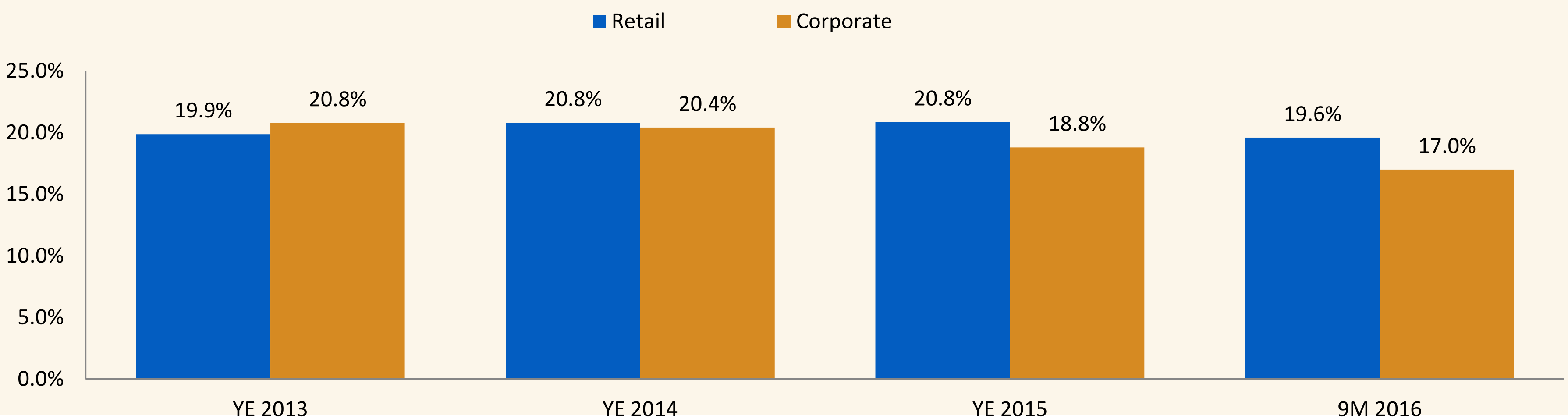


Asset Quality

NPLs by Segment

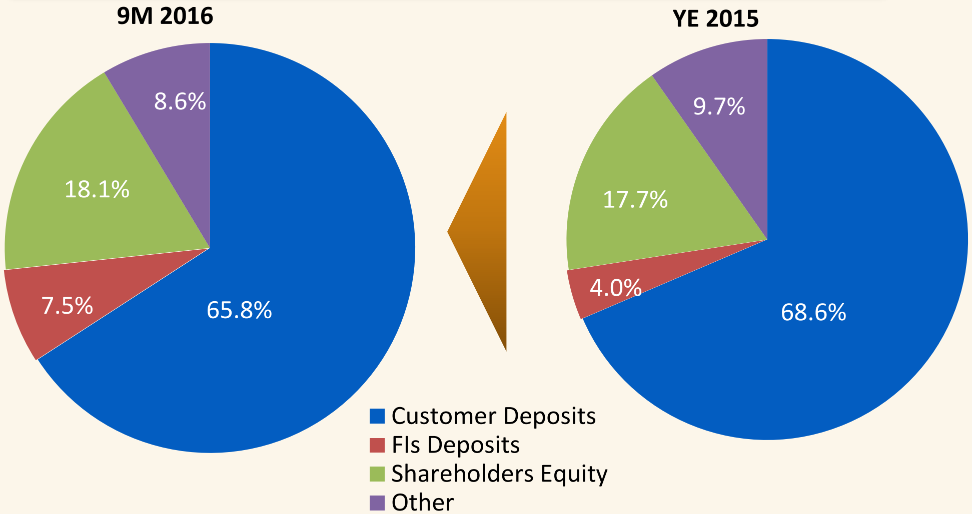


Gross loan Yield by Segment

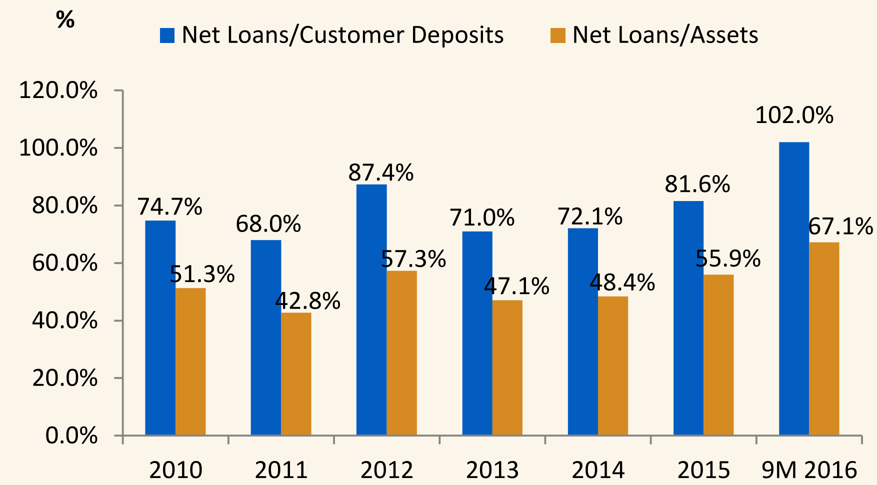


Funding

Funding Structure, %



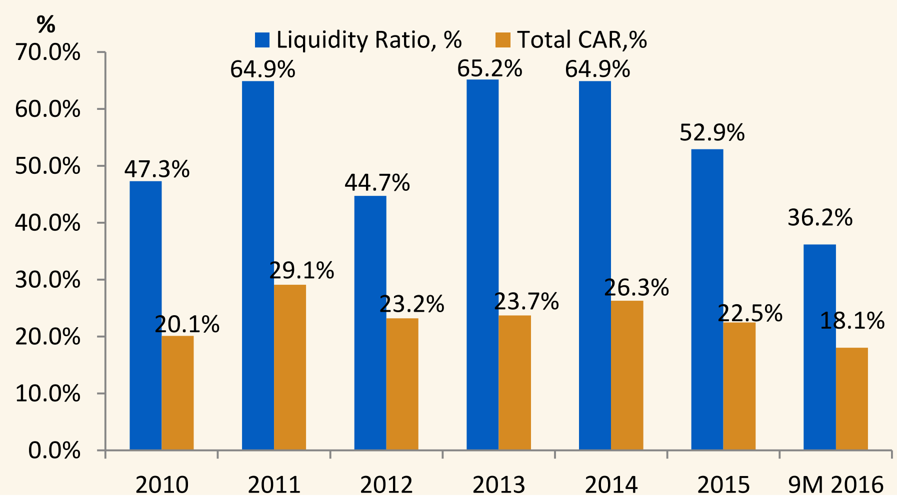
Significant Potential For Growth In Higher Yielding Assets



Highlights

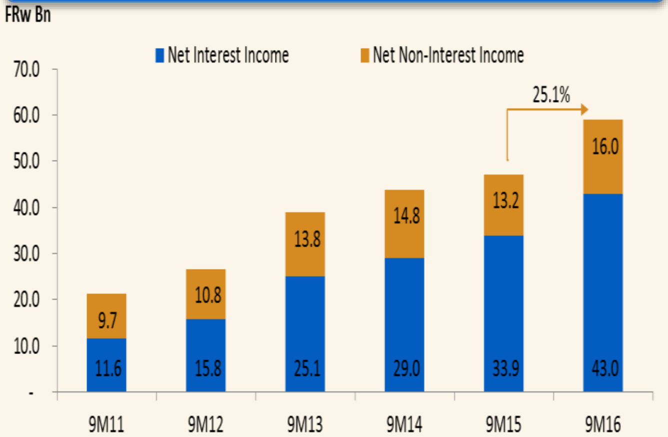
- Deposits are the primary source of funding with the share of customer deposits at 65.8% as at 30 September 2016
- Strong growth in deposits has been driven by our branch expansion as well as the introduction of various deposit mobilizing initiatives such as mobile vans and agency banking

Strong Capital And Liquidity Position

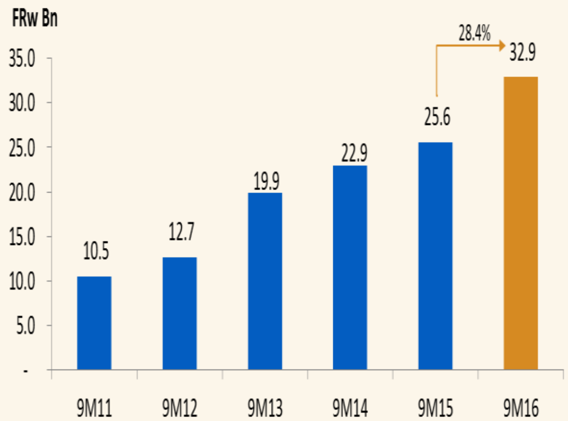


Income Statement Highlights

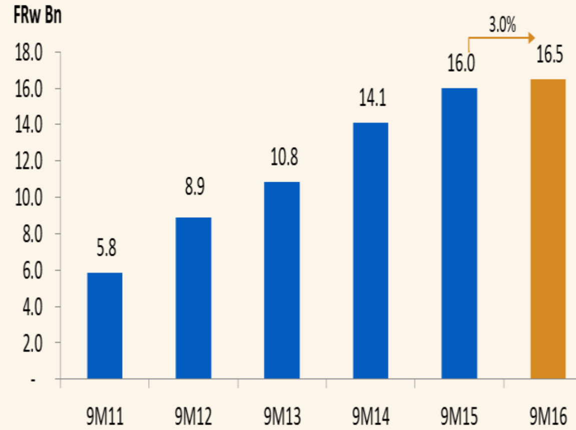
Total Operating Income



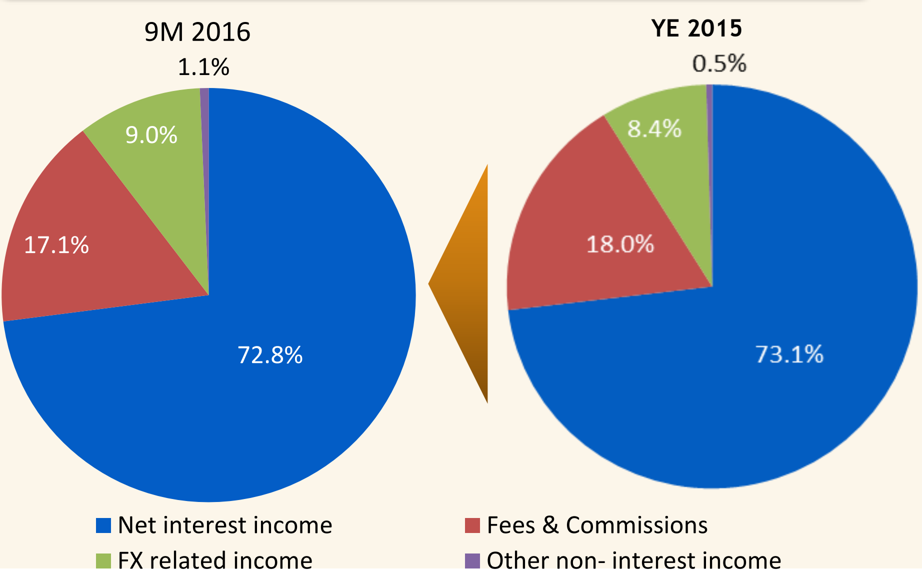
Total Recurring Operating Costs



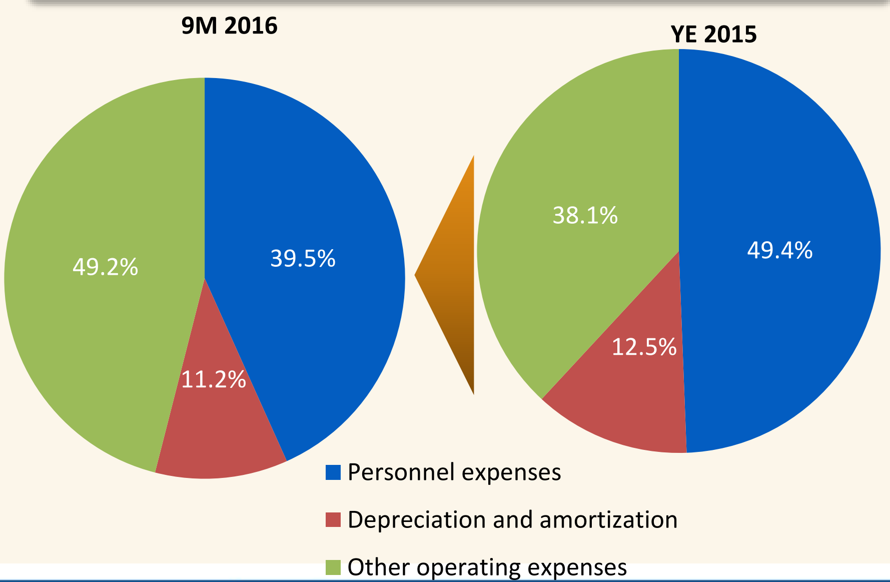
Net Profit



Composition of Total Operating Income

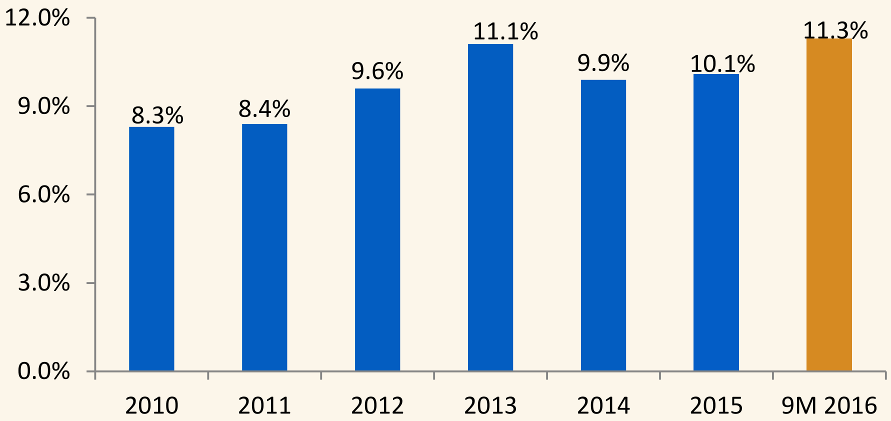


Composition of Total Operating Expenses

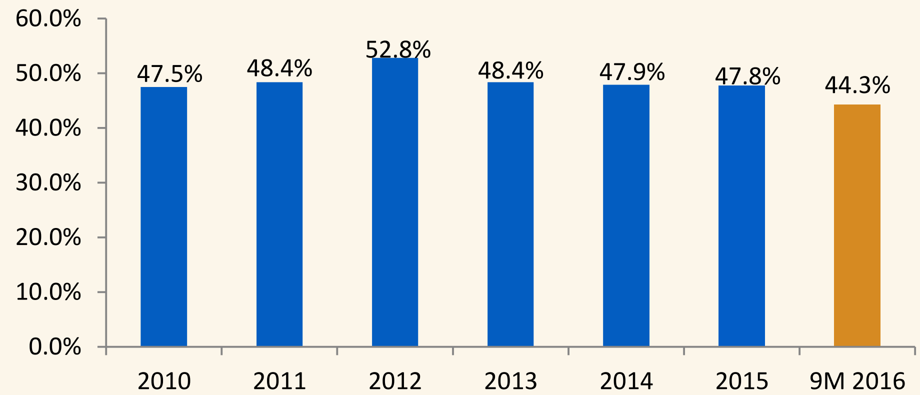


Consistent Profitable Growth

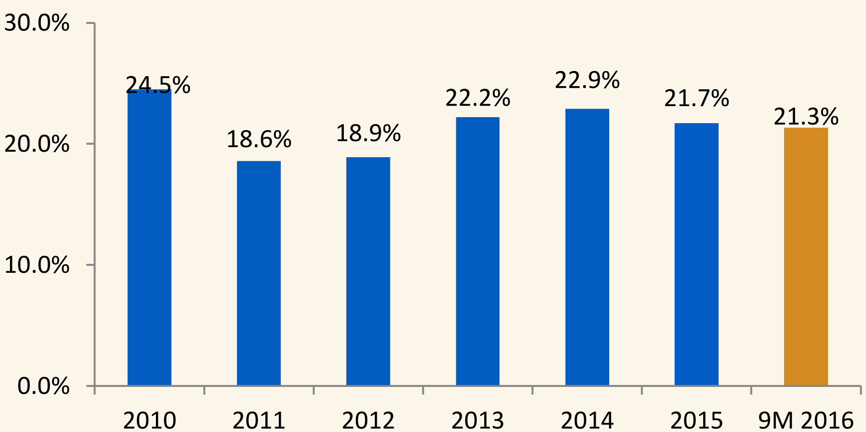
Sustainable Net Interest Margin %



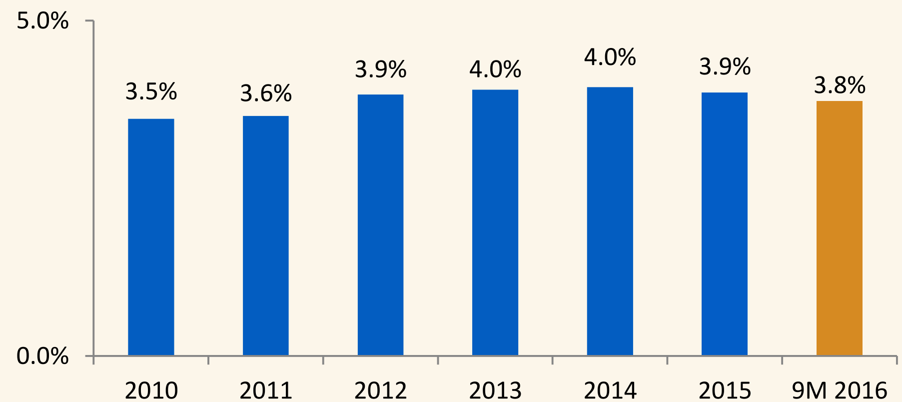
Attractive Cost/Income ratio



Stable Returns To Shareholders %



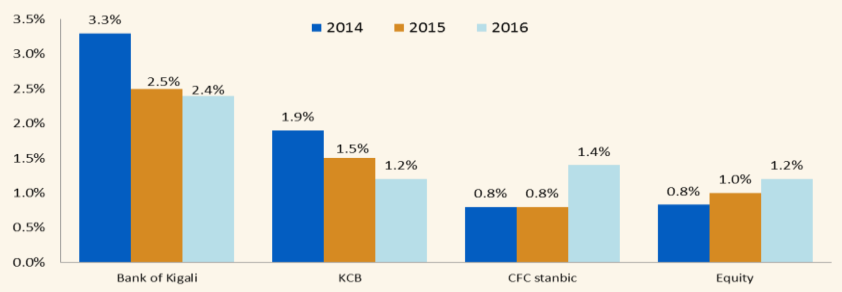
Strong Return on Average Assets %



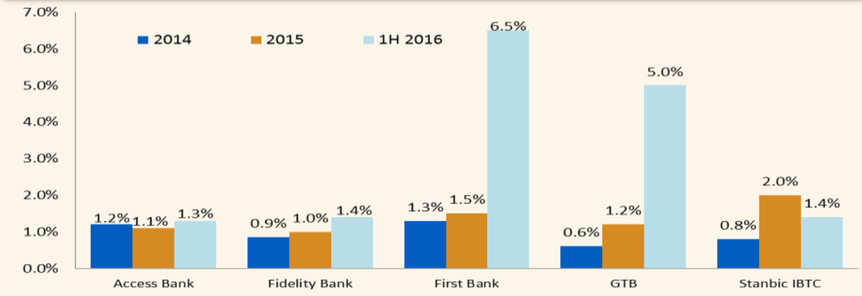
Source: Bank of Kigali Audited 2010-2014 IFRS Statements and Q4 2015 published financial statements

Regional Landscape

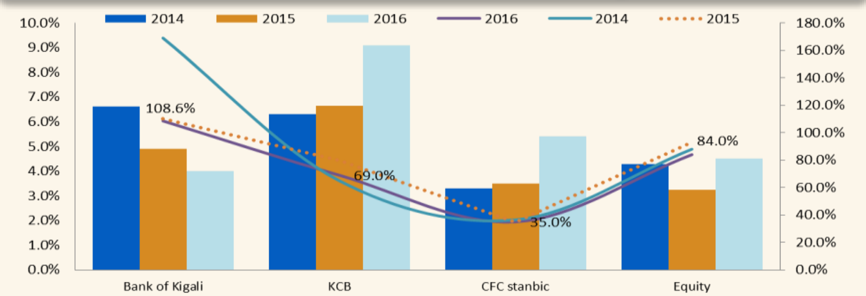
East African Banks - Cost of Risk



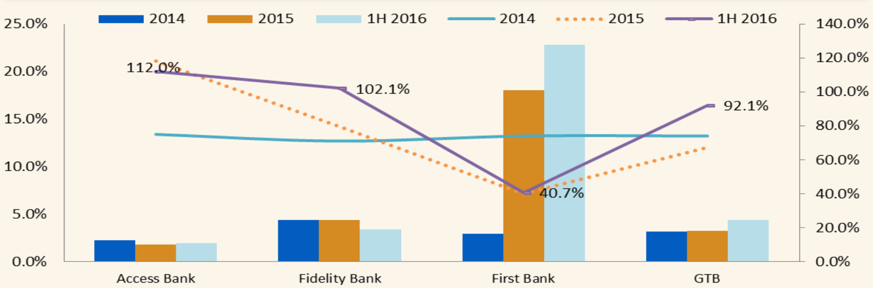
Nigerian Banks - Cost of Risk



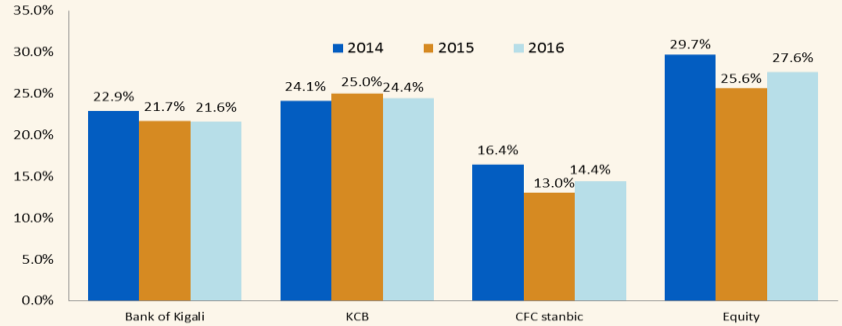
East African Banks - NPLs & Coverage ratio



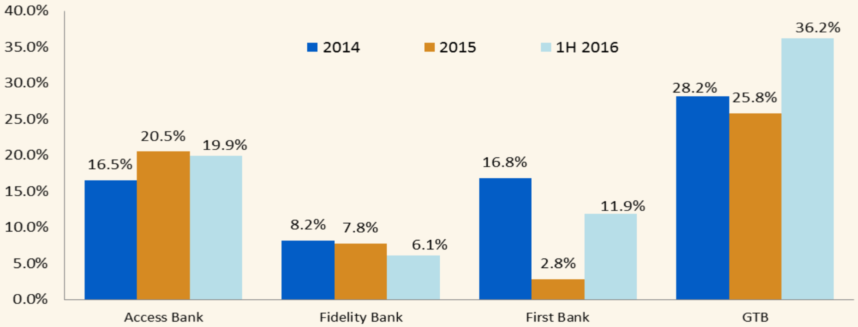
Nigerian Banks - NPLs & Coverage ratio



East African Banks - ROAE



Nigerian Banks - ROAE



Source: Bank of Kigali Audited 2010-2015 IFRS Statements and

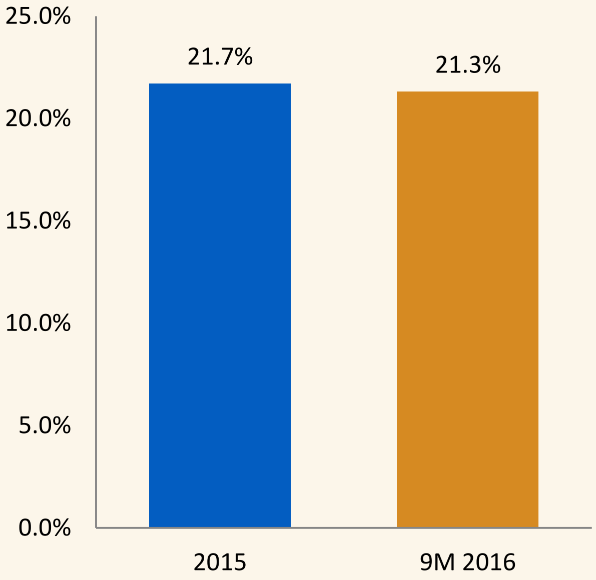
STRATEGIC OUTLOOK

Strategic Outlook

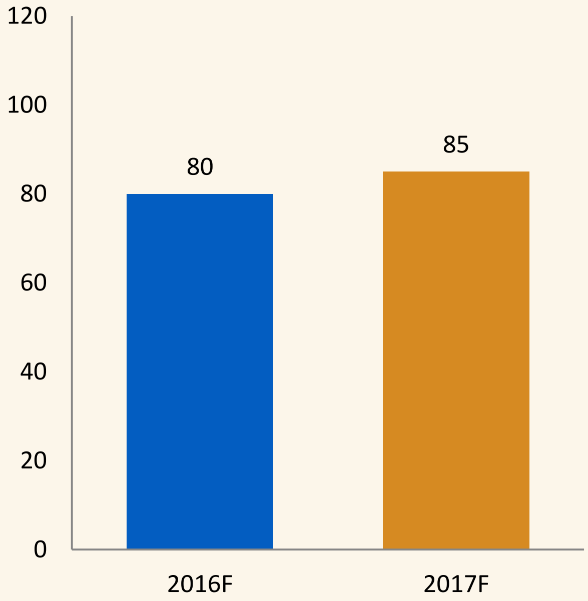
Objectives	Strategies	Action	Outcomes
Customer growth in terms of current accounts – increase current accounts by 100,000 in 2016	Build an ubiquitous branch footprint throughout the country	• Expand the branch network to 80+ branches by YE 2016	• Benefit from first-mover advantage outside the capital city, making it more difficult for the competitors to follow suit • Reach out to the unbanked (but bankable) population
	Build sufficient channel capacity	• Increase the number of ATMs, POS terminals and cards outstanding • Build a modern and scalable mobile banking and Internet banking platforms • Alternative client acquisition & service channels (retail chains, co-branded cards, utilities, etc)	• Become the bank of choice and convenience for the middle class and youth entering the employment sector • Create capacity to service 500,000+ clients
	Expand retail product offering	• Flexible, offset, variable-rate, etc. mortgages • Full range of consumer loan products • Revolving credit cards • Payroll & pension-backed loans & overdrafts • Modern, multi-currency current accounts with debit cards • Ubiquity of ATMs and POS terminals in urban centers and reasonable proximity elsewhere • Payment & e-wallet solutions • Full range of deposit products	• Maximize the product-to-client ratio • "Grow with clients" • Valuable source of retail clients through payroll programs • Growth of loan book and F&C income
Healthy structure & CAGR - 5 years for balance sheet >20% growth	Increase the loan to asset ratio to 60% Increase retail loans penetration Consolidate the leading position in corporate banking	• Integrated client coverage • Leverage the superior lending capacity • Cross-selling opportunities • Documentary operations & trade finance, FX, other solutions • Rep offices in EAC	• Diversification of funding base • Expand the share of higher-margin lending • Maximize the cross-sell opportunities • Grow the share of retail in the loan book up to 30%-40% in the medium term
	Increase the maturity profile of liabilities	• Leverage the superior access to wholesale funding to complement the deposit funding base	• Reduce maturity gap • Enable further expansion of long-term lending
	Create a universal banking platform	• Private Banking, Securities, Insurance	• Further diversification of revenue streams
Earnings CAGR - 5 years >22% Return on Average Equity > 20%	Maintain profitable growth	• Continuous improvement of risk management policies & procedures • Disciplined capital management, medium term target CAR > 20% and ROAE > 20%, implying ROAA in the 4.0% range	• No profitability sacrifices for the sake of market share gains • Sensible dividend policy as the growth curve flattens out over time

Management Targets

Return on Average Equity



Branch Expansion



Other Selected Management 2016 targets

- Net Income CAGR- 5 years >22%
- Total Assets CAGR- 5 years >20%
- Reduce NPL ratio to < 5%
- Increase number of retail accounts by 100,000.

Contact Information

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